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KEY EVENTS IN THE MONTH AHEAD

1) MIDDLE EAST CONFLICT RISKS RISING

In our March Foreign Exchange Outlook publication we assumed a conflict in the Middle East that would last weeks rather than months. That's becoming less likely now and the longer the conflict drags on the bigger the risks of more severe financial market conditions. Brent crude oil closed 44% higher in March, and we would have assumed such a large increase would have triggered a larger appreciation of the US dollar. The surge in yields outside of the US has played a role in diluting the gain for the US dollar as has the lack of risk aversion – the VIX index only broke above the 30-level toward month-end. Natural gas prices have also surged in Europe but are close to unchanged in the US. Our worst-case scenario assumed a range of Brent crude oil of USD 120-160pbl for a period of a month or longer and that scenario looks more likely the longer the Strait of Hormuz remains closed. There are also increasing episodes of energy production facilities in the region being attacked that will only prolong the supply impact. In a more severe scenario we would expect global equities to suffer bigger losses as global recession risks increase. This would likely lead to a further strengthening of the US dollar with DXY potentially trading higher up to the 103/104-level. The coming month will either see this scenario start to play out or we see a more concerted effort to de-escalate. The US could de-escalate in two-to-three weeks, as has now been indicated by President Trump but whether Iran then decides to reopen the Strait of Hormuz will be key to a reversal away from the severe scenario that incorporates the higher crude oil price range.

2) CENTRAL BANK MEETINGS TO REVEAL THINKING

Six G10 central bank meetings take place in April with the RBNZ first up on 8th April. There's quite a gap then until the BoJ announces its decision on 28th April followed by the BoC and the Fed on 29th and then the BoE and ECB on 30th. Pricing for the RBNZ is close to flat and an unchanged policy announcement is likely. The Fed and the BoC will likely also stay on hold. The uncertainties will lie around the other three meetings. We expect the BoJ to raise rates by 25bps to 1.00% assuming there has not been a major risk-off (equities -20% or more) given the BoJ communications have signalled an appetite for acting. The BoE has time before having to respond and hence we expect the BoE to stay on hold. The ECB decision is a close call but based on President Lagarde's speech on 24th March we are assuming the ECB will act and hike by 25bps to send a strong message to the markets on fighting inflation.

3) IMPLEMENTATION OF POLICIES ANNOUNCED IN MARCH NPC

Based on the directions established during the 'Two Sessions' in March, policy implementations in April will be the focus. 'Precise and Effective' Monetary Policy may imply some easing through targeted open market operations in April. Specific implementation rules for fiscal subsidies are to be rolled out too, covering various "trade-in" programs. RMB has been resilient, however against the backdrop of largely an increase in the risk premium for the oil prices, rather than market participants' pricing-in a significant supply shortage. The latter would generate more severe negative impact on production and consumption.

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Forecast rates against the US dollar - End-Q2 to End-Q1 2027

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
DXY	100.137	100.10	97.880	96.430	96.340
JPY	159.00	158.00	156.00	154.00	152.00
EUR	1.1524	1.1500	1.1800	1.2000	1.2000
GBP	1.3203	1.3070	1.3330	1.3480	1.3330
CNY	6.8975	6.8500	6.8300	6.8000	6.7800
AUD	0.6859	0.7000	0.7100	0.7200	0.7200
NZD	0.5710	0.5800	0.5900	0.6000	0.6000
CAD	1.3959	1.3700	1.3600	1.3500	1.3400
NOK	9.7398	9.7390	9.5760	9.5000	9.5000
SEK	9.5171	9.4780	9.1530	8.9170	8.9170
CHF	0.8020	0.7870	0.7710	0.7630	0.7670
CZK	21.301	21.390	20.760	20.330	20.250
HUF	334.60	330.40	317.80	312.50	316.70
PLN	3.7257	3.7390	3.6270	3.5500	3.5330
RON	4.4226	4.4430	4.3390	4.2670	4.2920
RUB	80.925	80.090	79.560	79.820	81.650
ZAR	17.070	17.300	17.000	16.700	16.400
TRY	44.478	46.500	48.500	50.500	52.000
INR	94.775	94.500	94.000	94.500	95.000
IDR	17038	17000	16850	16700	16600
MYR	4.0475	4.0500	3.9500	3.8000	3.7500
PHP	60.728	60.500	60.000	59.500	59.500
SGD	1.2889	1.3000	1.2900	1.2600	1.2500
KRW	1522.9	1510.0	1490.0	1470.0	1460.0
TWD	32.043	31.800	31.500	31.300	31.100
THB	32.631	33.900	33.600	32.300	32.100
VND	26337	26400	26500	26600	26700
ARS	1381.6	1450.0	1550.0	1650.0	1700.0
BRL	5.2134	5.3000	5.3500	5.2500	5.2000
CLP	929.31	930.00	910.00	890.00	870.00
MXN	18.030	18.000	17.750	17.500	17.500
SAR	3.7527	3.7500	3.7500	3.7500	3.7500
EGP	54.526	48.500	50.000	51.500	53.000

Notes: All FX rates are expressed as units of currency per US dollar bar EUR, GBP, AUD and NZD which are expressed as dollars per unit of currency. Data source spot close; Bloomberg closing rate as of 4:30pm London time, except VND which is local onshore closing rate. All consensus forecasts are Bloomberg sourced.

US dollar

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/JPY	159.00	158.00	156.00	154.00	152.00
EUR/USD	1.1524	1.1500	1.1800	1.2000	1.2000
		Consensus	Consensus	Consensus	Consensus
USD/JPY		155.00	153.00	152.00	150.00
EUR/USD		1.1700	1.1900	1.2000	1.2000

MARKET UPDATE

USD strengthens on geopolitical risks

In March the US dollar strengthened notably against the euro in terms of London closing rates, from 1.1818 to 1.1524. The dollar strengthened by less against the yen, from 156.05 to 159.00. The FOMC at its meeting in March kept the range for the federal funds unchanged at 3.75%-4.00%. The FOMC confirmed the end of QT effective December last year with the Fed no longer reducing UST bond holdings by USD 5bn per month. MBS holdings would continue to decline but would be offset by buying of US T-bills, initially amounting to around USD 40bn per month.

OUTLOOK

USD strengthens but more contained than expected

The US dollar, on a DXY basis, advanced in March by 2.4%. The start of the conflict in the Middle East resulted in a surge in energy prices with Brent crude oil up 44% at the end of March and TTF natural gas up 59%. The daily correlation on a 1-month rolling basis between the percentage change in crude oil and the dollar has strengthened notably although the scale of US dollar strength is a little less than would have been expected based on our regression analysis of previous oil price spikes over the post-shale oil period (since 2012) which indicates that the US dollar should be stronger. Hope of peace may be playing a role here with FX responding to President Trump's comments that peace negotiations have begun.

Why the dollar move has been more contained

The terms of trade driver of FX was not that apparent in G10 FX performance in March with intervention threat and yield playing a role. After the USD, JPY, GBP and NOK are three of the best performing G10 currencies. But the scale of depreciation versus the US dollar is likely being limited by concerns over the health of the US economy. The 92k drop in NFP in February highlights the fragility of the US economy and will limit terms of trade benefits. The average retail gasoline price has surged 34% since the crisis began, which will drag on consumer confidence and spending. Furthermore, investors are likely confused over the strategic goals with the White House communicating different goals and no clear strategy that could ultimately undermine confidence in US assets over time. The suggestion at the end of March of US de-escalation without a clear resolution to the Strait of Hormuz and possibly without a deal with Iran and the regime left intact we believe will likely reinforce the potential for a further loss of confidence in US assets.

Severe scenario versus best case scenario

In a severe scenario, the conflict drags on and attacks on energy production infrastructure increase in scale which extends the timeline of supply disruption. Brent crude oil could then trade in a higher range of USD 120-160p/bl that results in increased risks of global recession. Equity markets fall more sharply and the ToT and yield dynamic impacting FX fades and there is a stronger initial flight to the US dollar. The DXY in this scenario could extend higher up to the 105-level. In a scenario that at the time of writing is becoming more plausible, a half-hearted de-escalation with uncertainties persisting over the Strait of Hormuz and instability in the Middle East will undermine confidence in the US and hence in US assets and the dollar.

	Interest Rate Close	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Policy Rate	3.64%	3.64%	3.13%	2.88%	2.88%
3-Month T-Bill	3.67%	3.50%	3.15%	2.90%	2.90%
10-Year Yield	4.32%	4.00%	3.75%	3.75%	3.75%

* Interest rate assumptions incorporated into MUFG foreign exchange forecasts.

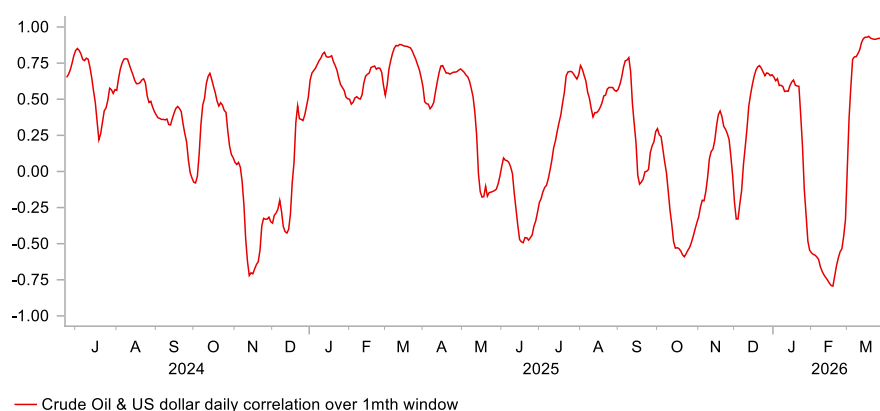
INTEREST RATE OUTLOOK

Across all scenarios, we emphasize that the neutral rate for the US remains roughly 3%, and that current dynamics (short-term inflation concerns vs. long-term growth shock) suggest rate cuts are delayed, rather than fully derailed.

Given the high uncertainty, a scenario based framework is the most appropriate lens to analyze the macro situation. In the best-case, a quick resolution to the war and the reopening of the Strait of Hormuz would allow oil prices to drift down toward pre-conflict levels (\$50-\$75). If the labor market shows signs of stabilizing, it could delay or reduce the total amount of rate cuts. Our base case is more pessimistic and assumes a longer conflict (a series of ceasefires/negotiations) with oil hovering in the \$75-\$100 range. This would likely offset some or most of the Q1 boost from OBBBA related tax refunds, softening the growth outlook and making unemployment risks outweigh inflation risks. As long as inflation expectations remain anchored with oil below \$100, the Fed should see past the oil driven supply shock and begin normalizing policy, thus we keep our three cuts, starting in July. In the worst-case, oil prices hold above \$100 and become a significant macro headwind, tightening financial conditions as equities reprice to weaker earnings. Oil this high would initially create a stagflationary shock that could evolve into a recession risk, particularly if private credit markets continue to deteriorate in the background. (George Goncalves)

Positive USD-oil correlation has strengthened

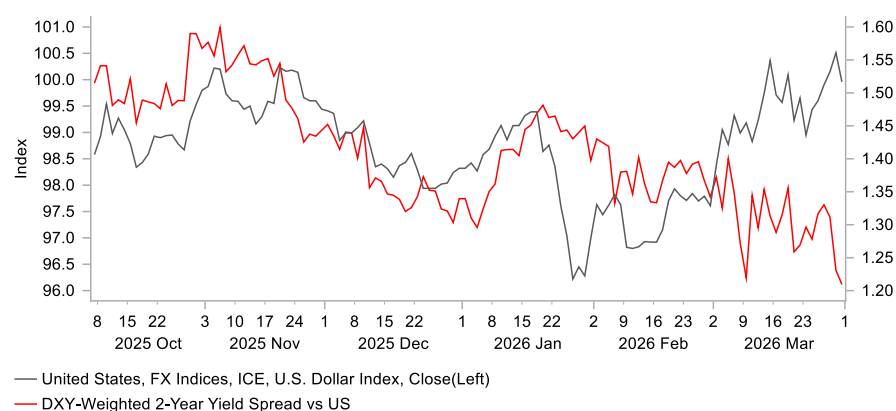
ROLLING 1-MONTH CORRELATION: DXY VS OIL



Source: Bloomberg, Macrobond & MUFG GMR

Yield spreads have moved against the USD during Middle East conflict

DOLLAR INDEX VS SHORT-TERM YIELD DIFFERENTIAL



Source: Bloomberg, Macrobond & MUFG GMR

Japanese yen

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/JPY	159.00	158.00	156.00	154.00	152.00
EUR/JPY	183.23	181.70	184.10	184.80	182.40
		Consensus	Consensus	Consensus	Consensus
USD/JPY		155.00	153.00	152.00	150.00
EUR/JPY		182.00	182.00	181.50	179.50

MARKET UPDATE

JPY weakens close to intervention levels

In March the yen weakened further versus the US dollar in terms of London closing rates from 156.05 to 159.00. However, the yen strengthened versus the euro from 184.42 to 183.23. The BoJ at its meeting in March kept the key policy rate unchanged at 0.75%, following the 25bp hike in December, the second 25bp rate hike since 2007. The BoJ is also continuing with the policy of cutting JGB monthly purchases and as was previously announced, the pace of reduction was reduced from JPY 400bn per quarter to JPY 200bn per quarter effective from April.

OUTLOOK

Yen downside risks from ToT hit but SPR release will help while yen upside risks if risk-off conditions intensify

The yen weakened in March fuelled by the surge in energy prices in response to the Middle East conflict that is set to result in a widening energy trade deficit and a potential inflation spike that results in a decline in real yields. Japan relies heavily on energy imports from the Middle East and the closure of the Strait of Hormuz will severely impact Japan's ability to weather the negative terms of trade shock. Over a two-year period from March 2021 to March 2023 Japan's energy deficit on a 12mth rolling sum basis increased from JPY 10trn to JPY 33trn, the fastest expansion over a two-year period on record. However, the terms of trade shock could well be less this time, assuming the supply constraint does not last many months. Japan has announced the release of 80mn barrels from its Strategic Petroleum Reserve as part of the OECD-agreed 400mn barrel release. The Japan total is the largest amount released after the US. The government is also lowering the mandatory private sector minimum stockpile from 70-days' worth to 55-days. The total drawdown equates to around 50 days' worth of total Japan consumption of crude oil and the SPR release equates to about 20% of the total SPR volume. As a comparison, in 2022 Japan released just 7.5mn barrels. So we do not expect the ToT shock to be as negative for the yen as in 2022 while we also see potential upside yen risks if broader financial market dynamics change and equity markets fall more sharply on global growth fears. Then global yields will likely start to fall, in turn providing yen support.

BoJ turns more hawkish also provides yen support

It is also looking increasingly likely that the BoJ's stance in regard to this energy shock will be different. In 2022-23 the BoJ did not alter its monetary stance as global central banks were hiking aggressively. Now, BoJ communication looks to be preparing the market for a hike – we expect the BoJ to hike on 28th April. Governor Ueda, in the Diet in March, spoke of the need to potentially act to help anchor long-term yields while the Summary of Opinions from the March meeting contained numerous hawkish references on the need to hike the policy rate in order to ensure inflation expectations remains under control.

Upside scope for USD/JPY is limited with risks skewed to a move lower

The BoJ also referenced yen weakness as a factor in hiking rates. While further dollar strength in general could see USD/JPY trading back above the 160-level, we see BoJ action, the possibility of MoF intervention and a more modest ToT energy shock as factors that will see a gradual move lower in USD/JPY going forward.

	Interest Rate Close	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Policy Rate	0.75%	1.00%	1.00%	1.25%	1.25%
3-Month Bill	0.79%	1.10%	1.10%	1.30%	1.30%
10-Year Yield	2.35%	2.50%	2.50%	2.60%	2.60%

* Interest rate assumptions incorporated into MUFG foreign exchange forecasts.

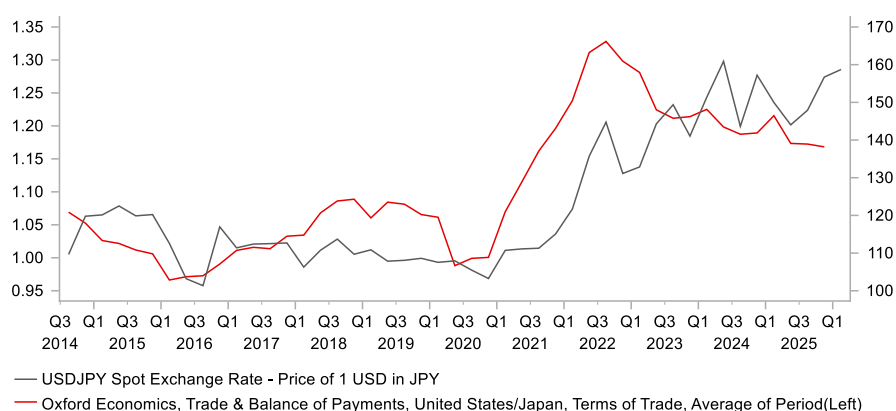
INTEREST RATE OUTLOOK

Upside risks due to energy inflation but BoJ action and a strong yen will help limit upside yield move

Like elsewhere, the 10-year JGB yield increased notably in March, by 23bps to close at 2.35%. The 10-year yield closed at 2.39% on 27th March, the highest closing rate since 1997. The combination of a weaker yen, higher energy prices and still an accommodative monetary stance combined to put upward pressure on longer-term yields. Fiscal uncertainties have also increased with expectations that the government could be forced to increase its cost of living support measures in order to counter the latest surge in energy prices. However, we suspect longer-term yields can stabilise and move higher from here in an orderly fashion, albeit with risks of temporary bouts of volatility. The BoJ's monetary stance will be crucial and assuming our view is correct and we see an April rate hike followed by another in Q4 then fears over the BoJ behaving behind the curve and running an excessively loose monetary stance should diminish. We also see scope for yen appreciation with a potential help from intervention, if over the short-term the MoF is forced to intervene. A gradual further rise in 10-year yields seems likely.

Terms of trade impact helped to lift USD/JPY during last energy price shock in 2022

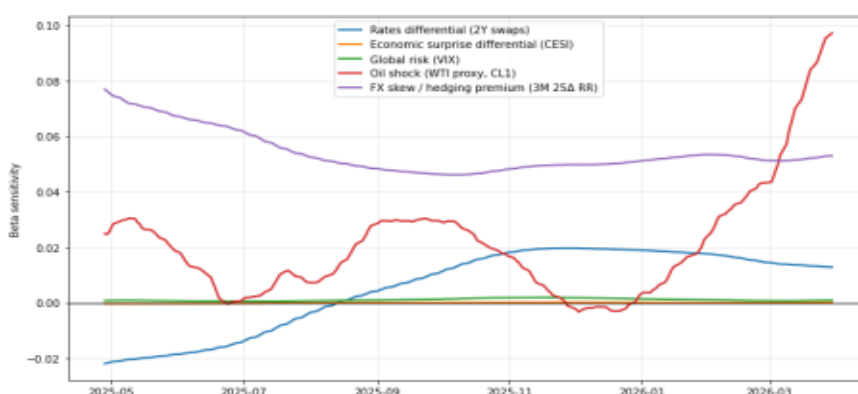
USD/JPY VS. RATIO OF US/JAPAN TERMS OF TRADE



Source: Bloomberg & MUFG GMR

USD/JPY's sensitivity to oil price has risen in recent weeks

USDJPY FX REGRESSION MODELLING BETAS (2YR ROLLING)



Source: Bloomberg, Macrobond & MUFG GMR

Euro

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/USD	1.1524	1.1500	1.1800	1.2000	1.2000
EUR/JPY	183.23	181.70	184.10	184.80	182.40
		Consensus	Consensus	Consensus	Consensus
EUR/USD		1.1700	1.1900	1.2000	1.2000
EUR/JPY		182.00	182.00	181.50	179.50

MARKET UPDATE

EUR weakens on geopolitics

In March the euro weakened against the US dollar in terms of London closing rates from 1.1818 to 1.1524. The ECB at its meeting in March left the deposit rate unchanged at 2.00% - the level reached following 100bps last year. The cumulative easing amounted to 200bps over 2024-25. QT will continue this year with the ECB's projected maturities from both APP and PEPP expected to result in a EUR 500bn reduction in balance sheet holdings.

OUTLOOK

Terms of Trade shock for euro diluted by yield rise

The euro weakened in March in response to the start of the conflict in the Middle East that resulted in the price of Brent crude oil surging 44% in March. TTF natural gas front contract jumped by 59% - a more modest rise than what happened following the Russia invasion of Ukraine in 2022. The drop in EUR/USD has been a little less than what we would have assumed based on the crude oil increase but EUR/USD would likely drop further on a further escalation in the conflict that would likely then result in global investors reappraising the energy supply outlook and hence the potential hit to global growth. At the time of writing, investors have turned optimistic again on expectations of US de-escalation which we believe could see confidence in US assets return as a theme more quickly than we had assumed. The fact that the euro drop has been more modest than we would have expected (based on the crude oil rise we would have assumed around a 3% drop in EUR/USD) is partly explained by the surge in front-end yields in the euro-zone. The ECB rhetoric so far in response to the crisis indicates a very different reaction function to the energy price surge with focus on upside inflation risks. ECB President Lagarde stated that the ECB could act in a "forceful" way to a more severe energy price surge.

ECB to hike but scale of action depends on risk asset performance

We currently see scope for the ECB to hike rates on two occasions in response to the increased inflation risks stemming from higher energy prices. The ECB rhetoric has been very clear and there seems to be widespread support for not repeating the errors of 2022. Hiking twice can help send a message to the markets that the ECB is not willing to "look through" the inflation shock. At the time of writing two-to-three hikes are priced for 2026 which we believe in circumstances of weaker equity market performance and decelerating growth is unlikely to be delivered. But early signs of inflation feeding through means the ECB will have to act. The flash CPI estimate for March saw a 1.2% MoM increase, the largest since 2022. The flash composite PMI for input prices jumped 6.9pts in March, the second largest increase on record – surpassed only once in March 2022 following Russia's invasion of Ukraine.

Move lower for EUR/USD but reversal once de-escalation begins

De-escalation is becoming more complicated but ultimately we see de-escalation over the coming month or so that sees EUR/USD start to recover from lower levels – we could see EUR/USD fall to as low as the 1.1000-level. However, a de-escalation now that leaves many questions unanswered (like passage via the Strait of Hormuz) will see renewed EUR/USD buying, possibly to levels beyond our current forecasts.

	Interest Rate Close	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Policy Rate	2.00%	2.50%	2.50%	2.50%	2.50%
3-Month Bill	2.20%	2.65%	2.60%	2.55%	2.50%
10-Year Yield	3.00%	3.00%	2.90%	2.80%	2.70%

* Interest rate assumptions incorporated into MUFG foreign exchange forecasts.

INTEREST RATE OUTLOOK

Curve should flatten if the ECB acts quickly and as we expect

The 10-year German bund yield surged in March, by 36bps to close at 3.00%, the highest close since June 2011. The jump reflects investor concerns over inflation risks stemming from the conflict in the Middle East and given crude oil prices can stay elevated for potentially another few months, the risks to inflation are considerable. Based on a more severe scenario of crude oil prices remaining at levels around USD 140pbl for between a month or two, the headline annual CPI rate is likely to head to a rate close to 6.0% by around the end of the year. The ECB is unlikely to tolerate that prospect without a monetary response, and even assuming a less severe scenario, we currently expect the policy rate is raised by 25bps twice – in April and June. Crude oil prices are currently up around 45% which if sustained will lead to a jump in inflation requiring action. The OIS market show two-to-three rate hikes but we see growth concerns reducing the need for the extent of tightening currently priced. Monetary tightening should help contain the longer-end of the yield curve and curve flattening is most likely. Still, we have raised our 10-year yield levels although we see yields decline further out as inflation fears recede.

Higher energy prices trigger bigger hawkish repricing of ECB outlook

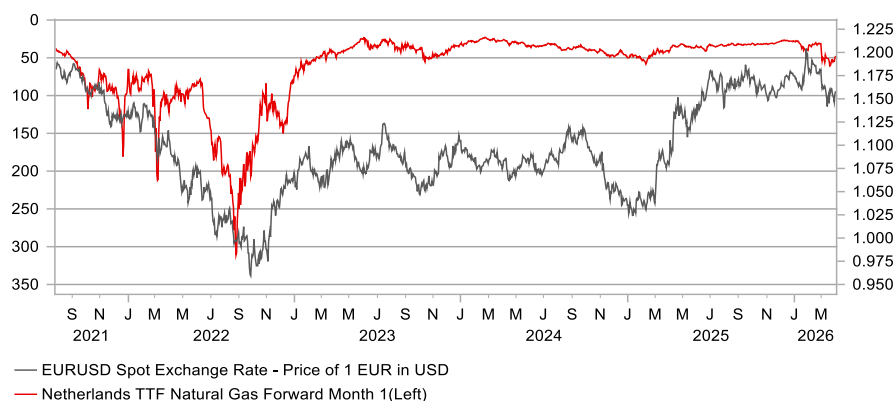
ECB VS FED POLICY EXPECTATIONS FOR YEAR AHEAD



Source: Bloomberg, Macrobond & MUFG GMR

European natural gas price shock is modest compared to in 2022

EUR/USD VS TTF NATURAL GAS (FRONT MONTH)



Source: Bloomberg, Macrobond & MUFG GMR

Pound sterling

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/GBP	0.8728	0.8800	0.8850	0.8900	0.9000
GBP/USD	1.3203	1.3070	1.3330	1.3480	1.3330
GBP/JPY	209.93	206.50	208.00	207.60	202.70
		Consensus	Consensus	Consensus	Consensus
GBP/USD		1.3400	1.3600	1.3600	1.3700

MARKET UPDATE

GBP depreciation on geopolitics

In March the pound weakened versus the dollar in terms of London closing rates, moving from 1.3460 to 1.3203. However, the pound strengthened against the euro from 0.8780 to 0.8728. The MPC at its meeting in March left the key policy rate was unchanged at 3.75%, after six 25bp cuts since August 2024.

OUTLOOK

GBP outperforms G10 on yield, but can that last?

After the US dollar, the pound was the second best performing G10 currency in March with the Middle East conflict and energy price surge triggering a huge jump in yields in the UK. The yield response is quite different to before. In Feb 2022 following the Russia invasion of Ukraine, the 2-year Gilt yield fell 70bps initially and the 2-year yield did not breach the level just prior to the invasion until mid-April 2022. This time, the 2-year yield surged and closed March at 4.41%, some 88bps higher than the Feb close before the conflict began. The BoE meeting in March certainly reinforced the move with a clear shift in tone to signal the potential for a hike. But we are not convinced this relatively strong pound performance will persist. Near-term, global growth risks are set to intensify and investor focus could soon shift away from upside inflation risks to downside growth risks. In those circumstances, yield is unlikely to play much supportive role for currencies. In addition, the UK finds itself more vulnerable to energy shortages that could undermine the growth outlook. The UK closed two fuel refineries in 2025 and now have only four in operation. UK refineries are also tailored toward light crude oils that does not align with the mix required in the market and hence the UK imports nearly GBP 18bn worth of refined petroleum, one of the top UK imported products. 40% of refined product imports are diesel with 33% jet fuel. Even a US-orchestrated de-escalation is unlikely to alleviate the supply uncertainties with numerous uncertainties set to persist for some period of time.

BoE to hike but with some capacity for patience

The surge in front-end yields in March in the UK is probably excessive and we are dubious of the pricing that at one stage in March implied the BoE would deliver four 25bp rate hikes. The BoE was priced for two rate cuts before the conflict. This swing is unjustified in our view and while this has partially reversed, the OIS pricing at end-March still implied two rate hikes. We see the BoE delivering one, with a risk of two depending on broader market conditions. The BoE monetary stance is already restrictive with the economic backdrop mixed and hence the BoE has more time to assess the inflation risks. MPC member Alan Taylor, one of the most dovish members stated in March that the “high bar for a rate hike could be surpassed” but also played down the need for extensive action. The 5y5y inflation swap has jumped only by about 10bps since the conflict began.

GBP downside risks as yield support fades

We are unconvinced that the yield support for the pound will continue and suspect either a more intense period of risk-off as global equity markets fall or de-escalation that will see yields decline further. Either way, the period ahead could see a reversal of the outperformance of the pound within the G10 space.

	Interest Rate Close	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Policy Rate	3.75%	4.00%	4.00%	4.00%	3.75%
3-Month Bill	3.98%	4.15%	4.10%	4.00%	3.70%
10-Year Yield	4.92%	4.90%	4.70%	4.60%	4.40%

* Interest rate assumptions incorporated into MUFG foreign exchange forecasts.

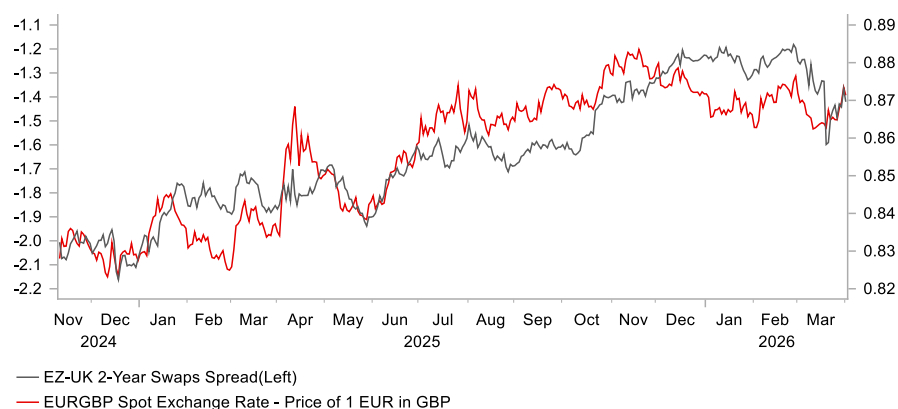
INTEREST RATE OUTLOOK

Gilt yields overshoot should correct somewhat

The 10-year Gilt yield surged in March, by 69bps to close at 4.92%. The move higher in the UST bond 10-year yield was 38bps while the German bund yield jumped by 36bps underlining the much larger jump in UK yields. We see this as overdone but investors remain more sensitive of UK inflation and fiscal risks that sees this type of reaction. There is some logic to the investor reaction with inflation and wages more sticky in the UK than in Europe or the US. The PMI Composite Input Prices Index did jump sharply in March, by 6.1pts, the second largest increase on record – only surpassed once in October 2016 following the plunge of the pound after the Brexit referendum. However, the policy stance in the UK is already restrictive and hence the MPC is in a better position to assess the balance of risks to inflation versus growth. Some of the MPC members also appeared to suggest a pragmatic approach to decision-making ahead. Deputy Governor Breeden suggested a lower risk of inflation pass-through given the different macro backdrop while Megan Greene (strong hawk) indicated time would be required to assess the risks. So we see scope for yields to retrace and expect a more contained BoE response to the conflict.

Yields have risen more in UK supporting stronger GBP

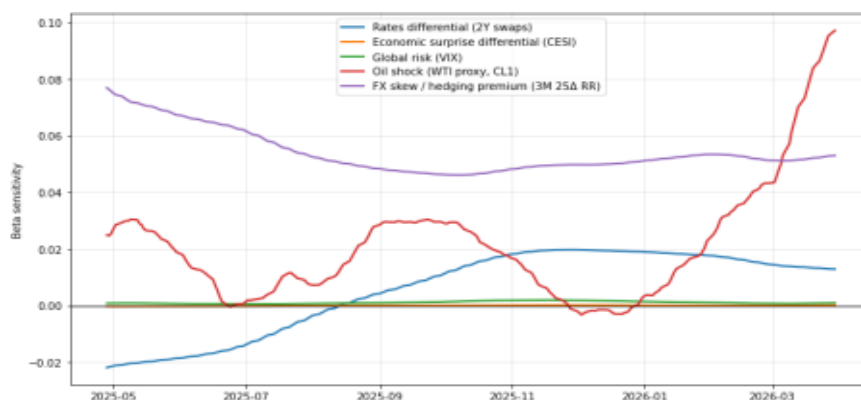
EUR/GBP vs SHORT-TERM YIELD SPREAD



Source: Bloomberg, Macrobond & MUFG GMR

GBP/USD sensitivity to oil has risen in recent weeks

GBP/USD FX REGRESSION MODELLING BETAS (2YR ROLLING)



Source: Bloomberg, Macrobond & MUFG GMR

Chinese renminbi

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/CNY	6.8975	6.8500	6.8300	6.8000	6.7800
USD/HKD	7.8399	7.8200	7.8200	7.8200	7.8200
		Consensus	Consensus	Consensus	Consensus
USD/CNY		6.8700	6.8500	6.8400	6.8300
USD/HKD		7.8000	7.8000	7.8000	7.8000

MARKET UPDATE

CNY was the most resilient currency in Asia amidst Middle East conflict

In March, USD/CNY moved from 6.8616 to 6.8975. On 20th March, the PBoC kept the 1Y and 5Y LPRs unchanged. On 22nd March, the PBoC governor Pan said that the bank will maintain a supportive monetary policy stance and continue to implement a moderately loose monetary policy at the annual China Development Forum.

OUTLOOK

Early indicators show China's growth recovery sustains in March

The data released indicates a positive start of the Chinese economy in 2026. In the first two months of 2026, exports were stronger than what seasonality would suggest and provided support for IP performance, whereas domestic demand remained soft dragged by continued property downturn due to household's continued deleveraging. There were three highlights from recent data release: First, government's push on stimulating construction activities started to work out as infrastructure FAI growth rebounded from -2.2% in 2025 to 11.4%yoy for Jan-Feb period, flipping overall FAI growth back to positive territory. Secondly, high-tech products demand both locally and abroad continued to support IP and exports growth, and China's dominance in sophisticated supply chains means this growth trend will likely remain. Third, the official PMI readings for March showed China's activities actually improved against the backdrop of Middle East conflict, with manufacturing PMI rebounded to 50.4 due to expansionary new orders and production. Signs of inflation emerged, with the main raw material input prices sub-index surging by 9.1ppts to 63.9, and the PPI sub-index rose by 4.8ppts to 55.4. This suggests strong imported inflation at the producer level, but the pass-through could be relatively modest to consumers given weak demand. Beyond the data release, the key takeaway from the March NPC is the government's stance is turning more pragmatic towards growth with economic rebalancing and fiscal risk management top priorities, beyond the cyclical short-term cycles.

Asset diversification demand likely keeps CNY relatively firmer than other Asian currencies

China's relatively low dependency on external energy has solidified its resilience amid the energy price shock and intensified global volatility across financial markets. Since the war on Iran began, CNY outperformed its Asian peers with only 0.5% depreciation amidst a 2.4% US dollar gain, CSI 300's much less drop and a stable 10-year CGB yield. Looking ahead, with our assumptions of some further escalation in Middle-East conflict before de-escalation in May and June, our oil price assumptions are that average quarterly oil price increases from Q1's 78 USD per barrel to 90, and average oil price in April reaches 115, higher than March average's 100, before oil price declines to year-end price of 75. With these, we expect USD/CNY to move higher in April, before decline to 6.85 by Q2 quarter-end. The risk for our call exists, due to the highly uncertain nature of this conflict. A prolonged Middle East conflict and severe drop in supply for extended period of time would translate into more severe damage to China's real economy and RMB. In a less severe situation, one factor, asset diversification demand for "safer" assets, might help provide support for CNY, especially for capital flowing out of the Middle-East.

	Interest Rate Close	Q2 2026	Q3 2026	Q4 2026	Q1 2027
LPR 1Y	3.00%	2.90%	2.70%	2.70%	2.70%
7-Day Reverse Repo Rate	1.40%	1.30%	1.10%	1.10%	1.10%
10-Year Yield	1.82%	1.85%	1.90%	1.95%	2.00%

* Interest rate assumptions incorporated into MUFG foreign exchange forecasts.

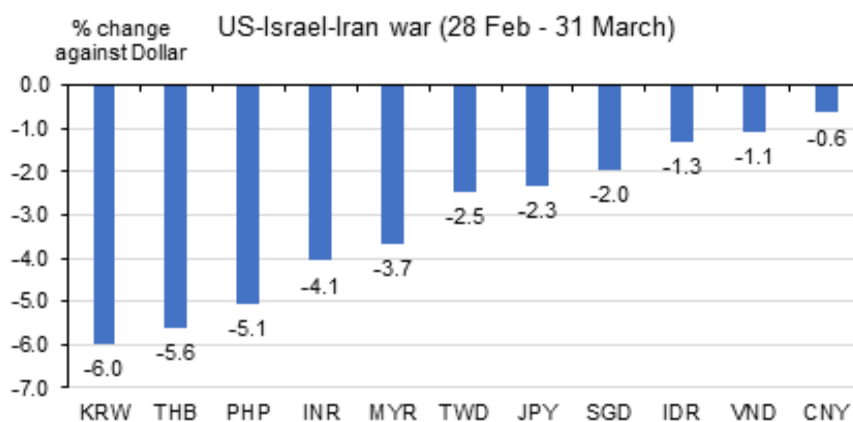
INTEREST RATE OUTLOOK

10-year CGB yield to grind upward despite a likely pick-up in diversification demand by global investors

China's bond market seemed largely isolated from the sell-off in global bonds markets in March. The curve steepened with yields declining in the front-end by 8-10bps whereas the yields in the longer-end either flattened or edged upward by only a few bps. The movement in short-end rates suggests that market saw monetary policy easing as a tool to buffer against downside growth risk post the March NPC and Governor Pan's remarks at the annual China Development Forum, as compared to an aggressive fiscal expansion. This is in line with our view that monetary policy needs to act to support growth, especially amid rising external negative shocks. On the other hand, the muted response in longer-end yields suggests global investors' possible growing diversification demand for China's bonds offsetting the inflation prospect from surging energy prices. Net, we think the 10-year CGB yield has modest upside given improved inflation outlook and ongoing structural rebalancing, barring a severe China growth slow-down triggered by a prolonged Middle East conflict. Policy easing wise, we should expect more of it in Q3 (-20bps) than in Q2 (-10bps) when front-loaded fiscal support starts to fade in 2H.

China's relatively low dependency on external energy helped to explain CNY outperformance

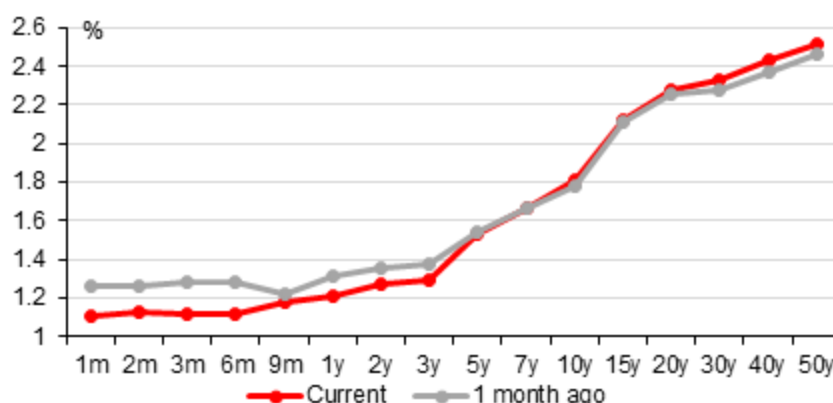
IN ASIA, CNY OUTPERFORMED WITH KRW, THB AND PHP UNDER PRESSURE



Source: Bloomberg, MUFG GMR

A steepened yield curve is positive for bank's net profit margin

CHINA GOVERNMENT BOND YIELD CURVE STEEPENED IN MARCH



Source: Bloomberg, MUFG GMR

Australian dollar

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
AUD/USD	0.6859	0.7000	0.7100	0.7200	0.7200
AUD/JPY	109.058	110.60	110.76	110.88	109.44
EUR/AUD	1.6801	1.6430	1.6620	1.6670	1.6670
		Consensus	Consensus	Consensus	Consensus
AUD/USD		0.7200	0.7200	0.7200	0.7300

MARKET UPDATE

AUD/USD weakens versus USD

In March the Australian dollar weakened further against the US dollar in terms of London closing rates from 0.7122 to 0.6859. The RBA at its meeting in March raised the key policy rate by 25bps to 4.10%, the second hike following the hike in February further the previous 75bps of cuts.

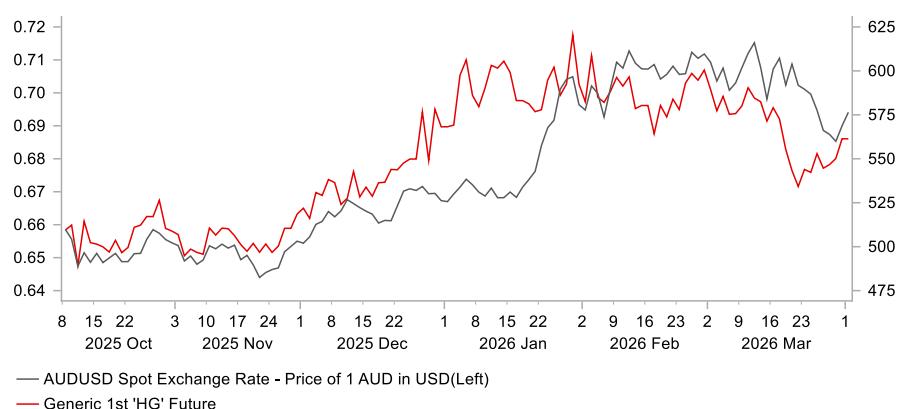
OUTLOOK

AUD resilience could give way if risk deteriorates more notably

The Australian dollar weakened in March versus the US dollar but as a natural gas exporter indicated resilience. AUD initially outperformed most other G10 currencies but ToT support faded as risk aversion worsened, resulting increased selling – AUD ended March the fourth worst G10 currency. Yield helped limit selling to a degree with the RBA expected to hike twice further this year. Our view is that as long as crude oil prices remain at a level that does not increase global recession risks and lead to a bigger drop in global equities then AUD downside is relatively limited. According to the 2025 World LNG Report, Australia is the second largest LNG exporter in the world behind the US. That's an important ToT positive for AUD that can provide key support. However, the longer the conflict drags on, the greater the risk of a lurch higher in crude oil and natural gas prices that fuels expectations of global recession as demand destruction kicks in. That scenario would mean greater risk-off as equities sell off and with that high-beta G10 would suffer. We'd expect in that scenario RBA rate hike expectations would ease and global financial market volatility would see AUD/USD extend lower than we currently assume. Our AUD/USD forecasts above do not assume that worst case scenario but it does assume the conflict extends further but an off-ramp is achieved. President Trump is now indicating de-escalation in two-to-three weeks and while that may prove difficult to achieve it does diminish the risk of a severe scenario and is AUD supportive.

Growth concerns beginning to weigh on AUD

AUD/USD VS PRICE OF COPPER



Source: Bloomberg, Macrobond & MUFG GMR

New Zealand dollar

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
NZD/USD	0.5710	0.5800	0.5900	0.6000	0.6000
NZD/JPY	90.789	91.640	92.040	92.400	91.200
AUD/NZD	1.2012	1.2070	1.2030	1.2000	1.2000
		Consensus	Consensus	Consensus	Consensus
NZD/USD		0.6000	0.6100	0.6200	0.6100

MARKET UPDATE

NZD weakens

In March the New Zealand dollar weakened modestly against the US dollar in terms of London closing rates from 0.5998 to 0.5710. In addition, the New Zealand dollar weakened against the Australian dollar, from 1.1874 to 1.2012. The RBNZ did not meet in March and hence the key policy rate was unchanged at 2.25%.

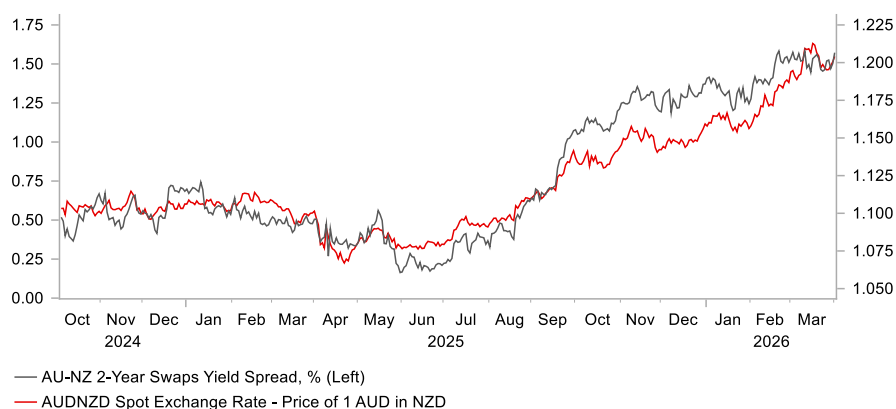
OUTLOOK

NZD downside risks

The New Zealand dollar weakened against the US dollar in March just like the rest of G10 although NZD was the second worst performing currency with only SEK performing worse. Unlike Australia, New Zealand does not benefit from a positive terms of trade shock when energy prices rise and hence has underperformed more broadly. The shift in rate expectations has been more modest than in many other G10 countries with the OIS market indicating about 40bps of additional tightening was priced by month-end since the conflict began. The RBNZ policy rate is already back in accommodative territory further undermining NZD performance. The RBNZ may also be more cautious in hiking rates. RBNZ Chief Economist, Paul Conway, stated that there was still "excess capacity" in the economy and the extent of this would shape how it responds to inflation risks stemming from the conflict. The suggestion is that the RBNZ could have scope for waiting longer to assess the extent of the inflation impact on the economy. Those sentiments were also echoed by Governor Anna Breman who stated that the RBNZ would not rush to raise rates. The RBNZ next meets on 8th April and there is little chance of a rate hike at that stage. A worse-case scenario of crude oil price surging further higher on an extended conflict would likely see NZD weaken further to the 2022 lows between 0.5500-0.5600. A nearer-term off-ramp and de-escalation would likely see those levels avoided and we would then assume USD-negative factors would return later in the year (our view).

Dovish RBNZ has weighed on NZD

AUD/NZD VS SHORT-TERM YIELD SPREAD



Source: Bloomberg, Macrobond & MUFG GMR

Canadian dollar

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/CAD	1.3959	1.3700	1.3600	1.3500	1.3400
CAD/JPY	113.91	115.30	114.70	114.10	113.40
EUR/CAD	1.6086	1.5760	1.6050	1.6200	1.6080
		Consensus	Consensus	Consensus	Consensus
USD/CAD		1.3700	1.3600	1.3500	1.3400

MARKET UPDATE

CAD weakens modestly

In March the Canadian dollar weakened against the US dollar in terms of London closing rates from 1.3637 to 1.3959. The Bank of Canada at its meeting in March kept the key policy rate unchanged at 2.25%, following total easing now of 275bps in the current cycle.

OUTLOOK

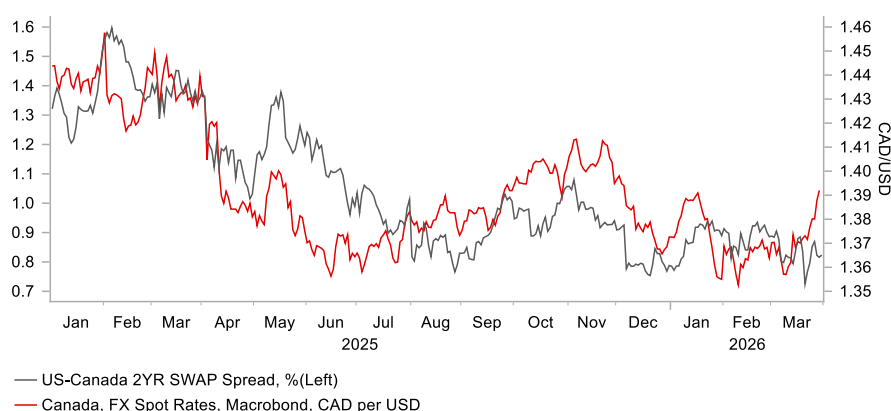
Terms of Trade support could fade

The Canadian dollar has held up better than most G10 currencies and only the USD, JPY, GBP & NOK marginally outperformed in March with CAD benefitting from being an energy exporter. The Bank of Canada met in March and the overall takeaway was that it appeared that the BoC would be willing to “look through” the energy price shock as long as the Middle East conflict did not last too long. The BoC argued that this energy price shock would be different as there was economic slack now in contrast to back in 2022. The rates market however has still responded despite the BoC’s caution and since the conflict began the OIS pricing by year-end has seen a 50bp swing from a slight pricing of further easing to about 40bps of tightening. That’s a similar swing to the change in the US. The 2-year US-CA swap spread has narrowed marginally. What happens from here will of course depend on what happens in the Middle East. A more prolonged conflict in a worse-case scenario would likely see crude oil taking another lurch higher into a range between USD 120-160p/bl that would likely see global recessions risks rise and with that risk-off to intensify with equity market declines. CAD support would likely give way in that scenario and we would see larger depreciation. A better-case scenario (our assumption) is some form of de-escalation in the coming weeks that results in DXY broadly remaining in a range around current levels. Weak US dollar dynamics would then likely re-emerge later this year and we would then likely see USD/CAD lower.

CAD underperformance contained

USD/CAD VS SHORT-TERM YIELD SPREAD

XE



Source: Bloomberg, Macrobond & MUFG GMR

Norwegian krone

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/NOK	11.224	11.200	11.300	11.400	11.400
USD/NOK	9.7398	9.7390	9.5760	9.5000	9.5000
NOK/JPY	16.325	16.220	16.290	16.210	16.000
		Consensus	Consensus	Consensus	Consensus
EUR/NOK		11.200	11.170	11.100	11.080

MARKET UPDATE

Modestly stronger

In March the krone strengthened modestly against the euro in terms of London closing rates from 11.243 to 11.224. The Norges Bank held the policy rate at 4.00%.

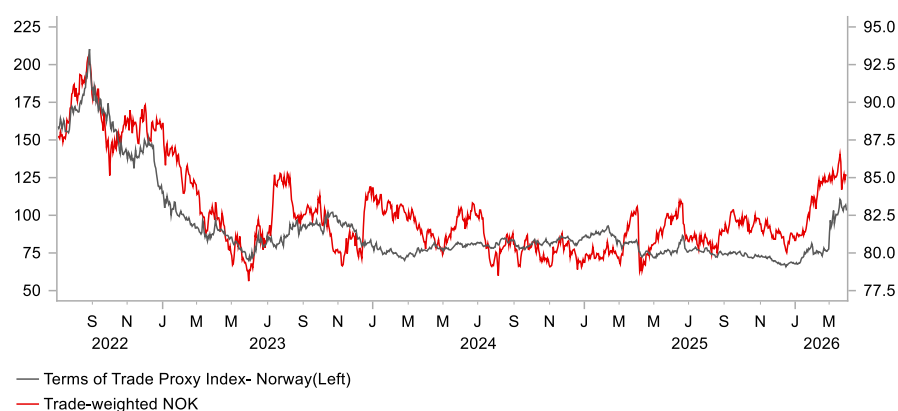
OUTLOOK

Higher energy prices are supportive for the krone up to a point

The krone has been one of the best-performing G10 currencies so far this year, alongside the Australian dollar. It strengthened further at the onset of the Middle East conflict, with EUR/NOK reaching a low of 10.935 on 19th March. However, the krone has since fully reversed those gains as investors have grown more optimistic that the conflict is entering a de-escalation phase. President Trump wants to end the conflict in the next two to three weeks although it remains unclear when the Strait of Hormuz will re-open. Recent price action highlights that it has become more difficult for the krone to extend its gains in the near term following its outsized appreciation earlier in the year. At the same time, a quicker end to the conflict and resumption of energy flows through the Strait of Hormuz could trigger a more pronounced move lower for the krone. Conversely, a more prolonged and disruptive energy price shock still can't be ruled out that weighs more heavily on global demand that could also become less supportive for the krone. Looking back at the previous energy price shock in 2022, the krone initially strengthened in the months after Russia invaded Ukraine, before weakening through the remainder of the year. One advantage of the krone's strong performance at the start of this year is that it helps dampen upside inflation risks stemming from higher energy prices. Still currency strength did not prevent the Norges Bank from signalling that it plans to raise rates by one or two times this year in response to upside risk to inflation. The Norges Bank is concerned that inflation is too high and may become more entrenched. The updated inflation forecasts show a more persistent inflation overshoot in the coming years.

Higher energy prices encouraging stronger NOK

TWI NOK VS NORWAY'S TERMS OF TRADE PROXY



Source: Bloomberg, Macrobond & MUFG GMR

Swedish krona

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/SEK	10.968	10.900	10.800	10.700	10.700
USD/SEK	9.5171	9.4780	9.1530	8.9170	8.9170
SEK/JPY	16.707	16.670	17.040	17.270	17.050
		Consensus	Consensus	Consensus	Consensus
EUR/SEK		10.600	10.550	10.500	10.500

MARKET UPDATE

Weaker

In March the krona weakened against the euro in terms of London closing rates from 10.661 to 10.968. The Riksbank held the repo rate at 1.75%.

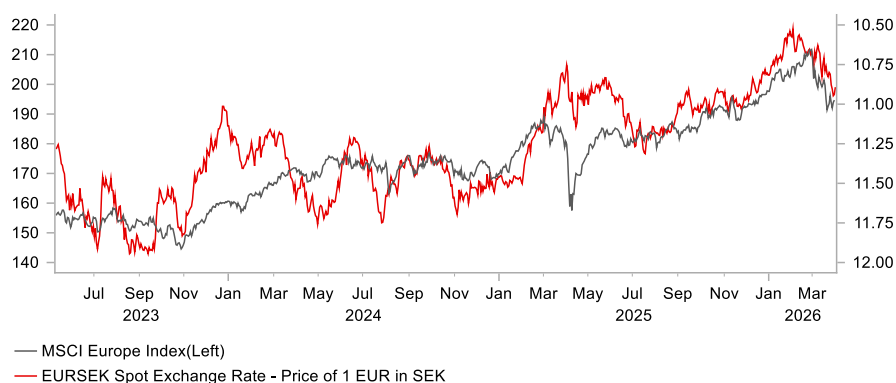
OUTLOOK

Scale & duration of energy price shock key for performance of SEK

The krona has continued to weaken in response to the Middle East conflict and has now fully reversed the gains recorded at the start of this year. It has been the worst-performing G10 currency since the conflict began at the end of February. The recent underperformance of the krona mirrors what happened during the energy price shock of 2022, triggered by Russia's invasion of Ukraine, when it was also the weakest G10 currency. EUR/SEK is currently testing important resistance from the 200-day moving average located at around 10.900. The krona's weakness reflects concerns that European economies, including Sweden, will be hit harder by the negative energy price shock. Sweden has a modest energy trade deficit, totalling around 1.3% of GDP. As a small and open economy, it is also vulnerable to slower growth in major trading partners. The most favourable outcome for the krona would be a quick resolution to the conflict and a resumption of energy flows through the Strait of Hormuz. In contrast, a more prolonged conflict and sustained energy supply disruption could generate a larger energy price shock and lead to an even more pronounced sell-off in the krona. Investor sentiment has improved recently amid growing optimism that President Trump wants to end the conflict in two to three weeks, helping to limit downside risks for the krona in the near term. At their latest policy update, the Riksbank acknowledged that the economic outlook is "highly uncertain at this time." Their baseline scenario assumes only "moderate effects" on inflation and the economic recovery from the Middle East conflict. As a result, the Riksbank has, for now, maintained its plan to keep rates on hold this year.

SEK vulnerable to slower growth in major trading partners.

EUR/SEK VS PERFORMANCE OF EUROPEAN EQUITIES



Source: Bloomberg, Macrobond & MUFG GMR

Swiss franc

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/CHF	0.9242	0.9050	0.9100	0.9150	0.9200
USD/CHF	0.8020	0.7870	0.7710	0.7630	0.7670
CHF/JPY	198.25	200.80	202.30	202.00	198.30
		Consensus	Consensus	Consensus	Consensus
EUR/CHF		0.9200	0.9200	0.9300	0.9400

MARKET UPDATE

CHF weakens very modestly

In March the Swiss franc weakened versus the euro in terms of London closing rates, moving from 0.9086 to 0.9xxx. The SNB at its meeting in March kept the key policy rate unchanged at 0.00%, after prior cumulative easing of 175bps.

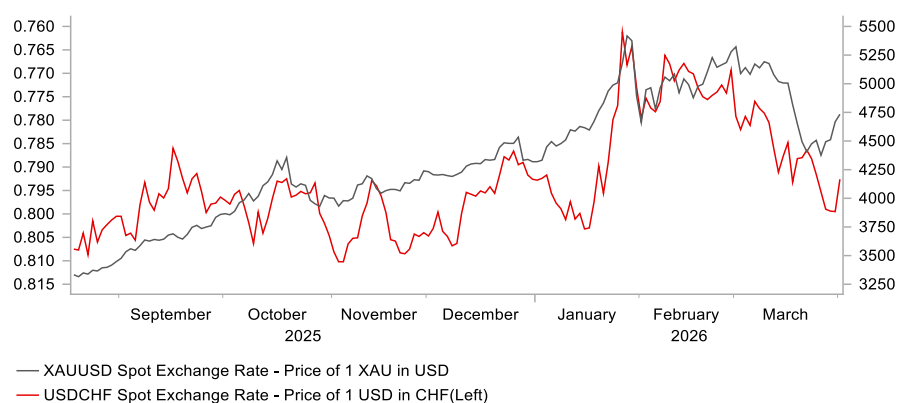
OUTLOOK

CHF underperforms which reflects relatively stable risk conditions

The Swiss franc has weakened more notably than usual in March with the surge in rates in the euro-zone helping to drive EUR/CHF higher. However, there is more to this with yield previously not playing much of a role in weakening the Swiss franc. Firstly, while geopolitical risks have risen markedly since the Middle East conflict began, risk conditions have remained remarkably stable. Equity markets have declined but the declines have been contained, in particular in the US. For example, the VIX has risen from around the 20-level to just 25 at the end of March, contained in part by de-escalation hopes at month-end. The franc is also underperforming given the comment from the SNB following its monetary policy meeting. SNB President Schlegel stated that the SNB's willingness to intervene had increased and that excessive franc strength threatened price stability. But the impact of those comments are likely to fade as we believe there are limits to favourable market conditions lasting and the degree of optimism evident could fade as we move forward through April if the Strait of Hormuz remains closed. If that was the case then equity markets would take a larger fall, demand for the franc would pick up and intervention would likely play a role tempering franc strength. So near-term risks point to a renewed move lower in EUR/CHF. However, if de-escalation happens quickly but uncertainties persist, EUR/CHF is more likely to remain in a narrower range. We now assume the ECB will hike rates which is a more unusual reaction function from the ECB which will also help the SNB in its efforts to curtail franc appreciation.

CHF & Gold both weakened at start of Middle East conflict

USD/CHF VS PRICE OF GOLD



Source: Bloomberg, Macrobond & MUFG GMR

Czech koruna

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/CZK	24.548	24.600	24.500	24.400	24.300
USD/CZK	21.301	21.390	20.760	20.330	20.250
CZK/JPY	7.4643	7.3860	7.5130	7.5740	7.5060
		Consensus	Consensus	Consensus	Consensus
EUR/CZK		24.250	24.300	24.250	24.200

MARKET UPDATE

Modestly weaker

In March the Czech koruna weakened modestly against the euro in terms of London closing rates from 24.220 to 24.548. The Czech National Bank (CNB) held the two-week repurchase at 3.50%.

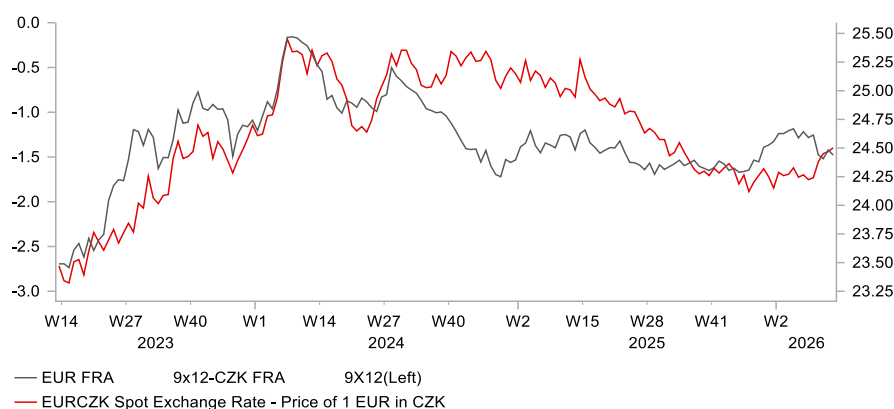
OUTLOOK

Middle East conflict tips balance of risks in favour of weaker CZK

The koruna has underperformed alongside other European currencies since the Middle East conflict began in late February. This weakness has pushed EUR/CZK back above the 200-day moving average, at around 24.400, for the first time since President Trump's "Liberation Day" tariffs announcement in April of last year. Looking back at price action during the last energy price shock in 2022, triggered by Russia's invasion of Ukraine, the koruna initially weakened sharply against the euro but then quickly rebounded and held up relatively well. The current bout of koruna weakness reflects market concerns that European economies, including the Czech Republic, will be hit harder by rising energy prices. The Middle East conflict has increased the likelihood that the Czech economy will slow this year, after expanding by a solid 2.5% in 2025. A more prolonged energy price shock would raise the risk of a deeper slowdown and a larger sell-off in the koruna. However, there have been some encouraging signs recently of possible de-escalation. President Trump stated he wants to end the conflict in two to three weeks but it remains unclear when the Strait of Hormuz will re-open. Higher energy prices are adding upward pressure to near-term inflation, which had fallen to 1.4% in the Czech Republic prior to the shock. This inflation undershoot gives the CNB some room to assess its policy response. Governor Michl has also noted that rates are already "relatively high," but emphasized that all options are open for future policy decisions. These comments suggest the CNB is likely to lag behind the ECB in tightening policy.

ECB rate hike expectations helping to lift EUR/CZK

EUR/CZK VS SHORT-TERM YIELD SPREAD



Source: Bloomberg, Macrobond & MUFG GMR

Hungarian forint

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/HUF	385.59	380.00	375.00	375.00	380.00
USD/HUF	334.60	330.40	317.80	312.50	316.70
HUF/JPY	0.4752	0.4780	0.4910	0.4930	0.4800
		Consensus	Consensus	Consensus	Consensus
EUR/HUF		381.00	382.00	382.50	381.50

MARKET UPDATE

Sharply weaker

In March the Hungarian forint weakened sharply against the euro in terms of London closing rates moving from 376.66 to 385.59. The National Bank of Hungary (NBH) held the base rate at 6.25%.

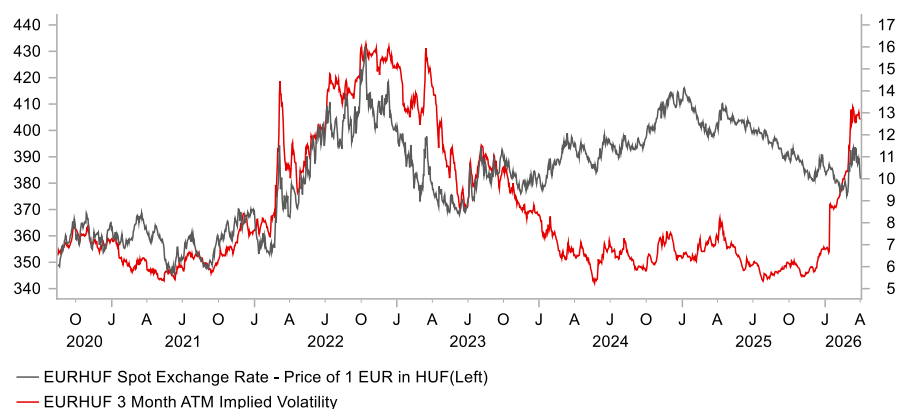
OUTLOOK

Energy price shock outweighing domestic politics as driver of forint

The forint has weakened sharply in response to the Middle East conflict, with EUR/HUF reaching a high of 399.91 on 9th March. The conflict has triggered an unwind of popular long forint carry positions, reversing all the gains accumulated since last autumn. Rising financial market volatility has reduced the attractiveness of carry trades. At the same time, the forint continues to receive some support from investor optimism about a potential change in political leadership in Hungary ahead of the general election on 12th April. The most reliable surveys and prediction markets continue to indicate that the main opposition party, Tisza, holds a substantial lead over Prime Minister Orbán's Fidesz party. Nevertheless, investors remain cautious, concerned that the government may attempt to cling to power. A victory for the opposition would encourage a stronger forint by potentially unlocking more than EUR 20 billion of frozen EU funds through improved relations with Brussels. However, domestic political developments are being overshadowed by unfavourable external risks. A more prolonged energy price shock would heighten downside risks for both Hungary's economy and the forint. Hungary's economy had already experienced weak growth over the past couple of years, undermining support for Prime Minister Orbán. The recent sharp weakening of the forint driven by position adjustments and building in of a higher risk premium prompted the NBH to adopt a more hawkish stance, alongside the rise in energy prices. Governor Varga signalled all options are on the table for future decisions, with inflation expected to peak above 5% this year.

Higher volatility has reduced HUF's carry appeal

EUR/HUF VS IMPLIED VOLATILITY



Source: Bloomberg, Macrobond & MUFG GMR

Polish zloty

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/PLN	4.2935	4.3000	4.2800	4.2600	4.2400
USD/PLN	3.7257	3.7390	3.6270	3.5500	3.5330
PLN/JPY	42.677	42.260	43.010	43.380	43.020
		Consensus	Consensus	Consensus	Consensus
EUR/PLN		4.2500	4.2500	4.2500	4.2600

MARKET UPDATE

Modestly weaker

In March the Polish zloty weakened modestly against the euro in terms of London closing rates from 4.2209 to 4.2935. The National Bank of Poland (NBP) held the seven-day reference rate 4.00%.

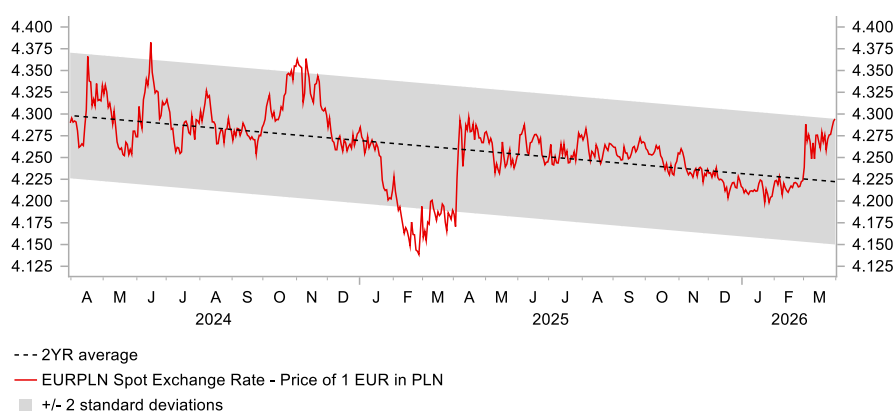
OUTLOOK

Middle East conflict has increased downside risks for zloty

The zloty has weakened since the Middle East conflict began, resulting in EUR/PLN rising toward the top of the 4.2000–4.3000 range that has been in place for the past year. The weaker zloty reflects concerns among market participants that European economies, including Poland, will be hit harder by the energy price shock. The good news for Poland is that it has been one of the fastest growing economies in the region, which should help it better absorb the negative impact of higher energy costs. Economic growth will continue to be supported by government spending on defence, which has contributed to a sizeable budget deficit closer to 7.0% of GDP. Prime Minister Tusk has also indicated that the government is preparing to provide relief measures from higher fuel prices if required. However, there is no clear indication that fiscal concerns are reinforcing the sell-off in the zloty. A more substantial hit to growth in Poland from a prolonged energy price shock could trigger a sharper zloty sell-off. During the previous energy price shock in 2022, the zloty weakened against the euro following Russia's invasion of Ukraine and remained under selling pressure throughout the year. A decisive break above the 4.3000 level would open the door for a larger move higher in EUR/PLN. Recently, market participants have become more optimistic that the conflict could end sooner after President Trump stated he wants to end the conflict in two to three weeks. Higher inflation makes it less likely that the NBP will cut rates further this year, and policymakers may even consider rate hikes if the energy price shock proves more persistent.

Energy price shock triggers reversal of PLN strength

EUR/PLN VS. 2YR TREND



Source: Bloomberg, Macrobond & MUFG GMR

Romanian leu

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
EUR/RON	5.0966	5.1100	5.1200	5.1200	5.1500
USD/RON	4.4226	4.4430	4.3390	4.2670	4.2920
RON/JPY	35.952	35.560	35.950	36.090	35.420
		Consensus	Consensus	Consensus	Consensus
EUR/RON		5.1000	5.1100	5.1500	5.2000

MARKET UPDATE

Stable

In March the Romanian leu was largely unchanged against the euro in terms of London closing rates moving from 5.0945 to 5.0966. The NBR maintained the policy rate at 6.50%.

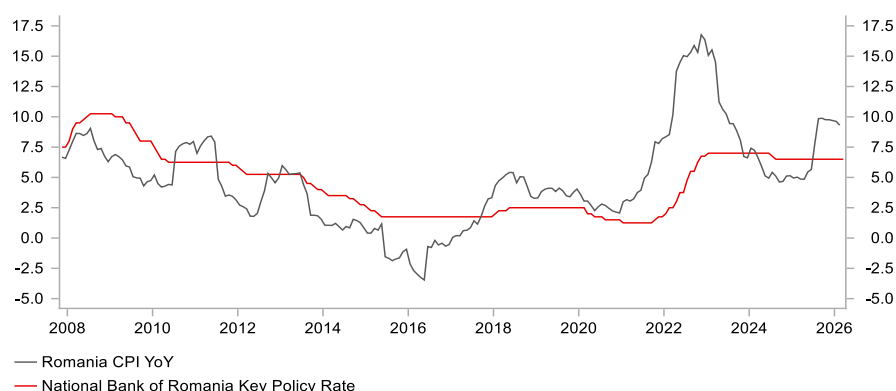
OUTLOOK

Romania to prioritize leu stability during energy price shock

EUR/RON has continued to trade within a narrow range, holding just below the 5.1000 level for the sixth consecutive month. Even the onset of the Middle East conflict which has triggered a pick up in financial market volatility has not disrupted the leu's stability against the euro. The price action continues to underscore that the leu remains tightly managed. Policymakers in Romania are likely to become less willing to allow the leu to weaken to improve external competitiveness at a time when upside risks to inflation are rising due to higher energy prices. The Romanian government is preparing to approve an emergency decree that would declare a state of crisis in the crude oil market to help contain the surge in fuel prices. The ruling coalition has also just approved the 2026 budget, which aims to narrow the deficit to 6.2% of GDP. It was an important step designed to help preserve Romania's investment grade credit rating. However, renewed concerns are emerging over the stability of the coalition government. The Social Democratic Party (PSD), which holds the most seats in parliament, will hold a party referendum in April to decide whether to remain in the coalition and continue supporting Prime Minister Bolojan. PSD leader Grindeanu has been pushing for a social welfare package that includes one-time payments to pensioners. Fresh political instability would add to downside risks for the leu. Looking back at the last energy price in 2022 following Russia's invasion of Ukraine, Romanian policymakers prioritised maintaining leu stability against the euro, an approach they will likely be inclined to repeat again.

Upside risks for inflation increase

NBR POLICY RATE VS HEADLINE INFLATION



Source: Bloomberg, Macrobond & MUFG GMR

Russian rouble

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/RUB	80.925	80.090	79.560	79.820	81.650
EUR/RUB	93.258	92.100	93.900	95.800	98.000
RUB/JPY	1.9648	1.9730	1.9610	1.9290	1.8620
		Consensus	Consensus	Consensus	Consensus
USD/RUB		81.000	83.000	85.000	87.500

MARKET UPDATE

Weaker

In March the Russian rouble weakened against the US dollar in terms of London closing rates from 76.925 to 80.925. The Central Bank of the Russian Federation (CBR) lowered the key policy rate by 0.50 percentage point to 15.00%.

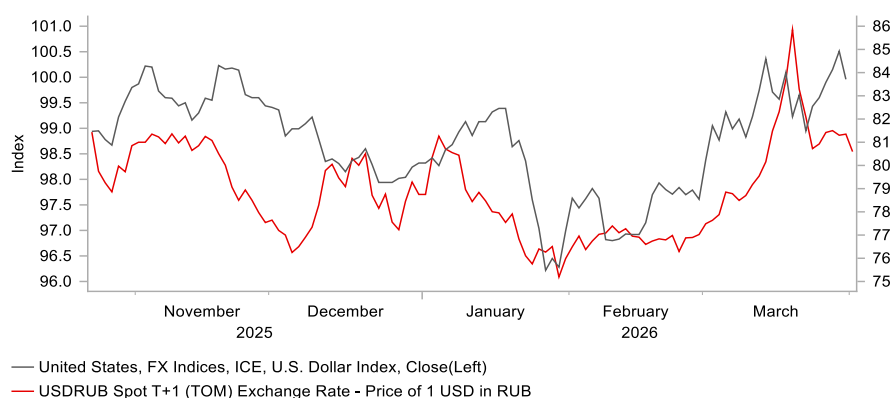
OUTLOOK

Middle East conflict is supportive for Russia & rouble

It has been a volatile month for the rouble in March, driven by developments in the Middle East conflict. The rouble initially weakened sharply as the US dollar strengthened broadly, with USD/RUB reaching a high of 86.562 on 19th March, before falling back toward the 80.000 level. The peak in USD/RUB coincided with the price of Brent rising to within touching distance of USD 120 per barrel after Iran retaliated by striking energy facilities in other Gulf countries. Russia is expected to be one of the main beneficiaries of the energy price shock. Higher prices are helping to boost government revenues at a time when they are needed to finance the ongoing conflict in Ukraine. The Middle East conflict has come at a favourable moment for Russia, as securing energy export revenues had become increasingly challenging. Reuters estimates that at least 40% of Russia's oil-export capacity totalling around 2 million barrels per day has been disrupted by Ukrainian drone attacks. Ukraine reportedly intensified its strikes in March, hitting all three of Russia's major western oil export ports: Novorossiysk, Primorsk, and Ust-Luga. The Middle East conflict has already reportedly allowed the government to delay adjustments to Russia's budget rule until at least June. The government had been preparing to lower the oil price threshold embedded in the rule due to concerns about the depletion of the National Wellbeing Fund, which has fallen by more than half. Overall, the positive terms-of-trade shock will provide some much needed support for Russia's economy, which is expected to record only weak expansion for the second consecutive year.

RUB weakness initially driven by broad USD strength

USD/RUB VS. DXY



Source: Bloomberg, Macrobond & MUFG GMR

South African rand

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/ZAR	17.070	17.300	17.000	16.700	16.400
ZAR/JPY	9.3144	9.1330	9.1760	9.2220	9.2680
EUR/ZAR	19.672	19.900	20.060	20.040	19.680
		Consensus	Consensus	Consensus	Consensus
USD/ZAR		16.360	16.100	15.930	15.800

MARKET UPDATE

Sharply weaker

In March the South African rand weakened sharply against the US dollar in terms of London closing rates from 15.899 to 17.070. The SARB held the key policy rate at 6.75%.

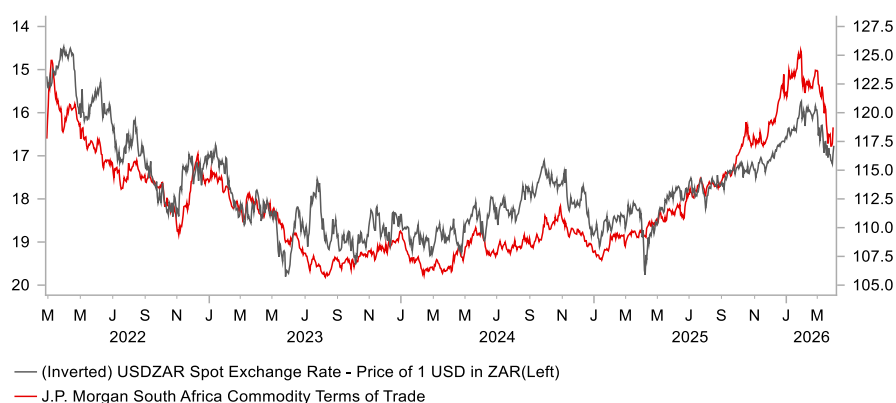
OUTLOOK

Middle East conflict is reversing support for the rand from improvement in South Africa's terms of trade

The rand has been one of the hardest hit currencies from the fallout of the Middle East conflict. USD/ZAR has retraced all of the adjustment lower since late last year, rising back up toward the 200-day moving average at just above 17.000. The rand has been undermined by the negative terms of trade shock for South Africa, both from higher energy prices and, more unexpectedly, from the sharp decline in precious-metal prices, including gold. At its worst point, gold lost around a quarter of its value in March, reinforcing the sell-off in the rand. After outsized gains earlier in the year, gold prices failed to extend their advance despite heightened geopolitical risks in the Middle East. At the same time, the rand has been pressured by the sharp pickup in financial market volatility triggered by the conflict. This volatility has led to an unwind of popular EM FX carry trades, including long rand positions built up since last April following President Trump's "Liberation Day" tariff announcement. Our forecasts assume that the Middle East conflict will end in Q2, helping to mitigate the scale of the negative shock to the global economy and to the rand. However, if the energy price shock proves more prolonged and disruptive, the sell-off in the rand could be significantly larger. Higher energy prices are dampening investor optimism over South Africa's growth outlook, offsetting the tailwind from ongoing economic reforms. Meanwhile, the SARB is coming under pressure to consider policy tightening in response to higher inflation, driven both by higher energy prices and the weaker rand, which would further weigh on growth.

Higher oil price & lower price of gold both hit ZAR

USD/ZAR VS SOUTH AFRICA'S TERMS OF TRADE PROXY



Source: Bloomberg, Macrobond & MUFG GMR

Turkish lira

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/TRY	44.478	46.500	48.500	50.500	52.000
EUR/TRY	51.256	53.475	57.230	60.600	62.400
TRY/JPY	3.5748	3.3980	3.2160	3.0500	2.9230
		Consensus	Consensus	Consensus	Consensus
USD/TRY		46.400	48.250	50.000	50.750

MARKET UPDATE

Weaker

In March the Turkish lira weakened against the US dollar in terms of London closing rates from 43.956 to 44.478. The Central Bank of Turkey (CBRT) held the one-week repo rate at 37.00%.

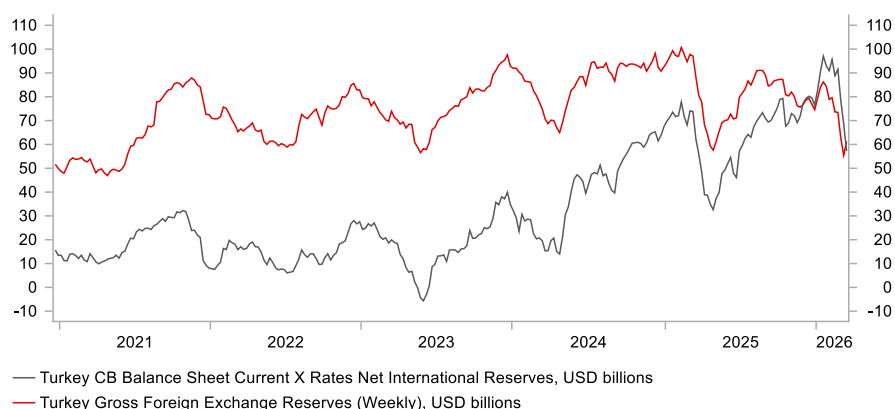
OUTLOOK

Pace of lira depreciation could accelerate in response to geopolitical & domestic political risks

The lira continued to weaken against the US dollar at an annualized rate of around 13% in March. Turkish policymakers have been intervening heavily to prevent a sharper sell-off in the lira in response to the Middle East conflict and the associated energy price shock. Reuters has reported that the CBRT may already have run down its FX reserves by nearly USD 45 billion to support the lira. The intervention has included selling gold reserves both outright and via swap operations, estimated at around 60 tonnes. This marks the first time the CBRT has sold gold reserves since the period between March and May 2023, when nearly 160 tonnes were offloaded. These developments highlight the risk that the pace of lira depreciation could accelerate if the Middle East conflict and energy supply disruptions prove more prolonged, potentially testing the CBRT's willingness to continue providing support. A more pronounced lira sell-off would reinforce upside risks to inflation in Turkey, particularly alongside higher energy prices, and would increase pressure on the CBRT to tighten policy. At its most recent policy meeting, the CBRT noted that uncertainties around the inflation outlook had risen "significantly," prompting it to pause its rate-cutting cycle as an initial response. Updated forward guidance signalled that monetary policy would be tightened "in case of a significant and persistent deterioration in the inflation outlook." The government has already taken steps to cushion the negative economic impact of rising energy prices by reactivating a temporary fuel price mechanism. Turkey's budget deficit narrowed by around 2 percentage points last year, providing some room for fiscal support.

Drawdown in reserves to prevent faster pace of TRY depreciation

TURKEY FX RESERVES



Source: Bloomberg, Macrobond & MUFG GMR

Indian rupee

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/INR	94.775	94.500	94.000	94.500	95.000
INR/JPY	1.6777	1.6720	1.6600	1.6300	1.6000
EUR/INR	109.22	108.70	110.90	113.40	114.00
		Consensus	Consensus	Consensus	Consensus
USD/INR		92.000	92.130	92.350	92.800

MARKET UPDATE

INR was weaker against the US dollar in March amidst the Iran conflict

In March, the Indian rupee was weaker against the US dollar at 94.775 from 90.975. The Reserve Bank of India kept its repo rate at 5.25% at its Feb 2026 meeting, while implementing limits on banks' USD/INR onshore positions to curb INR weakness.

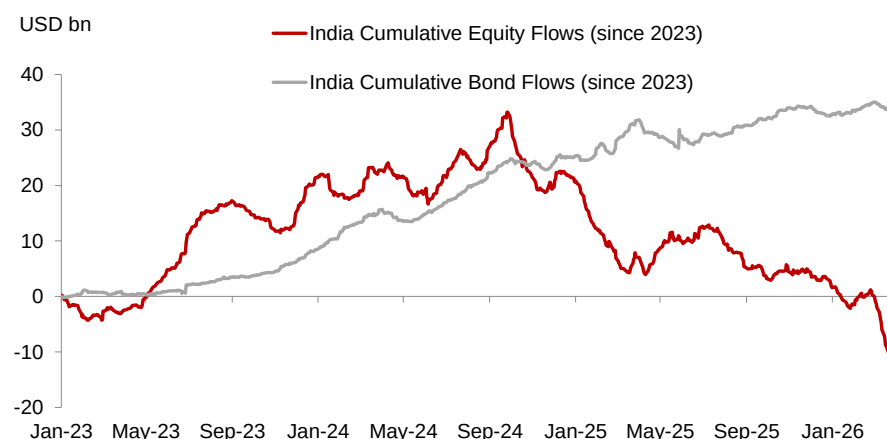
OUTLOOK

We continue to see the Indian Rupee as vulnerable and likely rising above the 95 levels if the Iran and Middle East conflict is sustained, even as our base case assumes some gradual de-escalation by April

We continue to see the Indian rupee as vulnerable and likely rising above the 95 level if the Middle East conflict is sustained and the Strait of Hormuz remains closed. Our base case forecasts assume some gradual de-escalation by April, but importantly we think that USD/INR at 97.50 and even higher will look achievable if oil prices sustain at US\$120/bbl or higher through 2026. Of course, there are many shades of grey in terms of scenarios and the duration of the crisis, but overall we see these as reasonable given the meaningfully different nature of the crisis, including the likelihood of energy shortages. Given where USD/INR is already trading and where FX forward points are, the risk seems somewhat more two-sided today relative to our forecasts especially if there is a durable de-escalation moving forward. As USD/INR heads higher, RBI may also attempt to push back harder on currency weakness. The recent announcement by the RBI to limit onshore USD/INR FX positions by authorised dealers to US\$100mn each should have resulted in a stronger INR as long USD/INR positions start to get closed out, but near-term the impact was relatively muted with perhaps some expectation that the rules may eventually be relaxed. More importantly, our key message is that the fundamental capital flow picture remains quite weak for INR even before the Middle East conflict, and so we are biased to expect any fall in USD/INR as shallow.

We saw sharp capital outflows from India as the Iran conflict intensified and oil prices spiked in March

WE SAW SHARP CAPITAL OUTFLOWS FROM INDIA



Source: CEIC, Bloomberg, MUFG GMR

Indonesian rupiah

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/IDR	17038	17000	16850	16700	16600
IDR/JPY(100)	0.9332	0.9290	0.9260	0.9220	0.9160
EUR/IDR	19635	19550	19880	20040	19920
		Consensus	Consensus	Consensus	Consensus
USD/IDR		17000	16900	16800	17100

MARKET UPDATE

IDR weakened against the USD in March.

In March the Indonesian rupiah weakened to 17,038 against the US dollar compared to 16,780 in February. BI held the policy rate at 4.75% in March, emphasising the maintenance of rupiah stability.

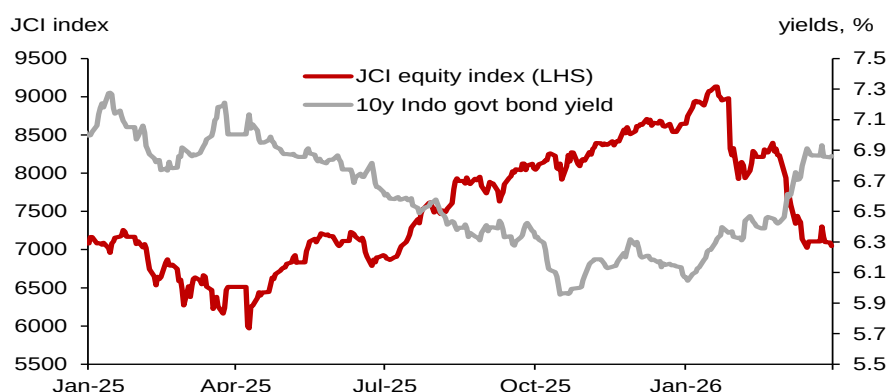
OUTLOOK

IDR faces ongoing downside risks from the Middle East conflict and elevated global risk aversion, but proactive Bank Indonesia measures and market-deepening tools could provide some counterbalance.

The Indonesian authorities are strengthening their defence of the rupiah amid the Middle East conflict. BI has shifted toward a pro-stability, market-deepening strategy rather than relying solely on heavy spot FX intervention. In particular, BI has broadened the range of BI-issued securities, most notably foreign-currency securities (SVBI) and sukuk (SUVBI), that can be used in FX repo transactions. This will help improve onshore USD liquidity, reduce the need for outright USD buying during risk-off episodes, and enhance the transmission of BI's broader FX toolkit, while preserving FX reserves. These measures should help anchor USDIDR and limit disorderly moves, especially given that Indonesia remains a net commodity exporter and can benefit at the margin from higher prices for non-energy commodities. That said, the rupiah remains vulnerable to a prolonged oil price shock. We estimate that every USD10/bbl increase in oil prices could raise energy subsidy and compensation costs by around 0.4% of GDP relative to the USD70/bbl oil price assumption in the 2026 budget. While higher commodity prices may provide some revenue offsets, fiscal space is constrained with the deficit nearing the statutory 3% of GDP cap, raising the risk of near-term spending restraint or politically sensitive adjustments to fuel price caps, both of which could weigh on growth. Market sentiment toward Indonesian assets has deteriorated, with credit default swaps also widening above 100bp. While BI's proactive FX measures should help contain USDIDR upside, a severe external shock, such as a sharp repricing in US yields or a deeper global risk-off episode, could still trigger further rupiah weakness.

Indonesia's equities and bonds have repriced sharply on rising global risk aversion.

SHARP RISK-OFF REPRICING OF INDONESIA ASSETS



Source: Bloomberg, MUFG GMR

Malaysian ringgit

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/MYR	4.0475	4.0500	3.9500	3.8000	3.7500
MYR/JPY	39.284	39.010	39.490	40.530	40.530
EUR/MYR	4.6643	4.6580	4.6610	4.5600	4.5000
		Consensus	Consensus	Consensus	Consensus
USD/MYR		3.9000	3.9000	3.9000	3.9000

MARKET UPDATE

MYR weakened against the USD in March.

In March the ringgit weakened to 4.0475 against the US dollar from 3.8910 in February. BNM held its policy rate at 2.75% in March.

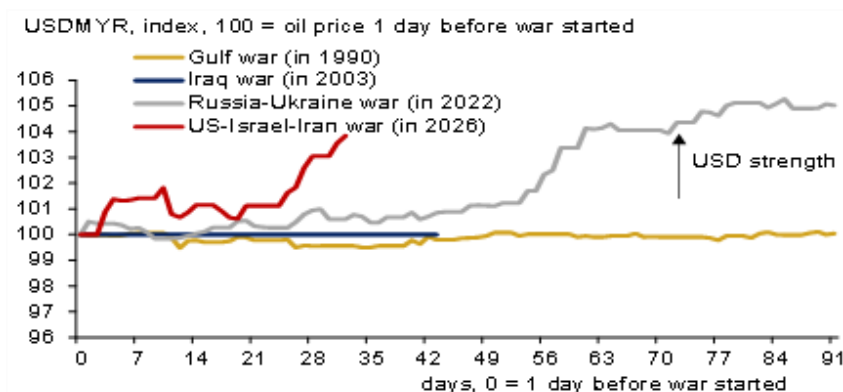
OUTLOOK

MYR faces near-term pressure from Middle East turmoil, driven by risk-off sentiment and higher US rates, but resilient domestic fundamentals, sustained fuel subsidies, strong investment inflows, and the AI-led tech upcycle should support a renewed ringgit appreciation toward 3.75 once geopolitical risks fade.

Our outlook for USD/MYR remains shaped by the tension between near-term geopolitical risks and Malaysia's resilient medium-term fundamentals. We forecast USDMYR to rise to around 4.0500 in Q2, before falling to 3.7500 on a 12-month horizon as risk conditions eventually stabilise and domestic growth drivers reassert themselves. In the near term, the ringgit remains sensitive to global risk sentiment and US rate dynamics, and the Middle East crisis has amplified both. While Malaysia is a net energy exporter, it is still a net crude oil importer, with roughly 70% of crude imports sourced from the Middle East. As such, a sustained period of elevated oil prices could erode the trade surplus and lift inflation. Indeed, the ringgit's recent weakness, more pronounced than during the Russia-Ukraine conflict in 2022, highlights its vulnerability to risk-off sentiment and the repricing of Fed rate-cut expectations. Our estimates suggest that every USD10/bbl increase in oil prices worsens the trade balance by about 0.3% of GDP and lifts headline CPI inflation by a modest 0.15ppt. That said, higher oil prices also support petroleum-related revenues, helping to sustain RON95 subsidies at RM1.99/litre so long as oil remains below USD150/bbl, limiting near-term fiscal stress. Beyond the oil shock, Malaysia's macro fundamentals remain constructive: investment approvals in manufacturing and services rose 10% in 2025, labour market conditions remain healthy, and the economy is benefiting from a third investment upcycle, with electrical and electronics exports surging. Against this backdrop, we expect BNM to hold rates at 2.75% this year, and for the ringgit to regain strength once geopolitical risks fade, supported by strong FDI inflows and domestic investment realisation.

MYR weakness is more pronounced than during the Russia-Ukraine conflict in 2022.

RINGGIT IS SENSITIVE TO NEAR-TERM RISK AND US RATES



Source: Bloomberg, MUFG GMR

Philippine peso

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/PHP	60.728	60.500	60.000	59.500	59.500
PHP/JPY	2.6182	2.6120	2.6000	2.5880	2.5550
EUR/PHP	69.983	69.580	70.800	71.400	71.400
		Consensus	Consensus	Consensus	Consensus
USD/PHP		59.300	59.000	59.500	59.850

MARKET UPDATE

PHP was weaker against the USD in March

In March, the Philippine peso was weaker against the US dollar at 60.728 from 57.645. The Philippines central bank kept its policy rate on hold at 4.25% in an off-cycle policy meeting in March, even as the possibility of rate hikes remains open.

OUTLOOK

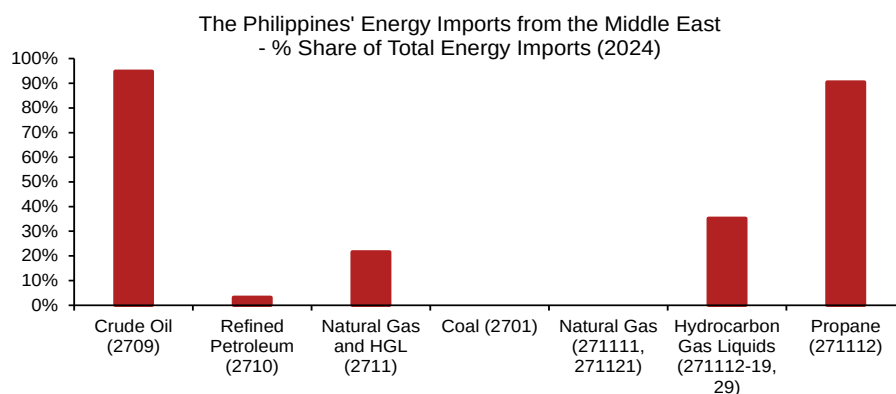
We continue to see the Philippines Peso as vulnerable and USD/PHP rising above the 61 levels if the Iran and Middle East conflict is sustained, even as our base case forecasts assumes some gradual de-escalation by April

We continue to see the Philippine peso as vulnerable and USD/PHP rising further above the 61 level if the Middle East conflict is sustained and the Strait of Hormuz remains closed. Our base case forecasts for USD/PHP assumes some gradual de-escalation in April but importantly if oil prices rises sharply further towards US\$120-140/bbl we think levels in USD/PHP such as 62.00-64.00 will look achievable especially if this is coupled with a more hawkish Fed and/or greater degree of risk aversion impacting emerging market FX. We have been stressing to clients and our readers that this time is truly different for the Strait of Hormuz crisis including for the Philippines – it's not just about higher oil prices but a potential looming energy shortage. 95% of the crude oil that the Philippines imports comes from the Middle East, while the Philippines is also dependent on regional Asian refineries for petroleum products. Overall, the indirect effects for the Philippines can also be quite substantial across a whole host of channels including fertiliser prices, food production, electricity prices, manufacturing, remittances, among others. Most crucially if there is a binding energy shortage this will have significant impact to supply chains and inflation as well. If oil prices average US\$100/bbl and above, CPI inflation will likely breach above the central bank's inflation target of 4%. Given the weak starting point for growth, we think the BSP may try its best to hold off on rate hikes but ultimately we see the risk as biased towards the central bank raising rates at least once this year to contain inflation expectations.

The Philippines imports 95% of its crude oil from the Middle East, while it also depends on regional refiners in Asia for the bulk of the petroleum product needs

THE PHILIPPINES IMPORTS 95% OF CRUDE OIL FROM MIDDLE EAST

XF



Source: CEIC, MUFG GMR

Singapore dollar

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/SGD	1.2889	1.3000	1.2900	1.2600	1.2500
SGD/JPY	123.36	121.50	120.90	122.20	121.60
SGD/MYR	3.1403	3.1150	3.0620	3.0160	3.0000
		Consensus	Consensus	Consensus	Consensus
USD/SGD		1.2700	1.2600	1.2600	1.2600

MARKET UPDATE

SGD weakened in March against the US dollar.

In March the Singapore dollar weakened to 1.2889 against the US dollar from 1.2649 in February. MAS left its current monetary policy setting unchanged at its January policy review, maintaining the prevailing rate of appreciation of the S\$NEER band with no adjustments to its width or the level at which it was centred.

OUTLOOK

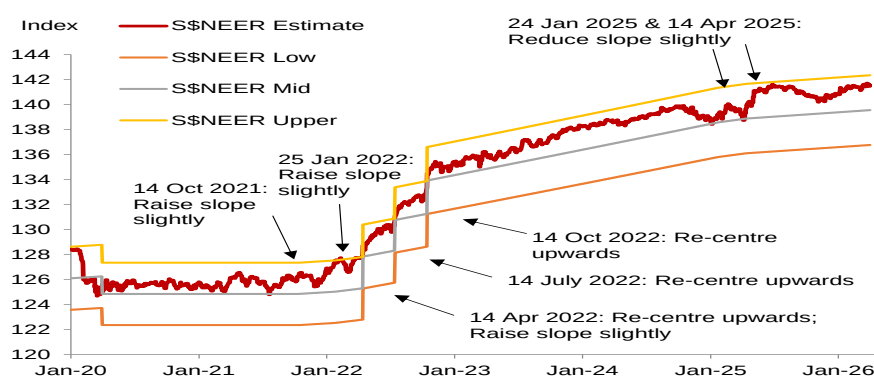
USDSGD is likely to stay biased higher in the near term amid protracted Middle East tensions, elevated US yields, and energy-driven risk aversion, but a tight MAS policy stance and resilient domestic demand should eventually allow SGD to re-appreciate once geopolitical risks fade.

USDSGD is likely to remain biased higher in the near term as Middle East tensions risk becoming protracted, reinforcing energy-driven inflation risks and keeping US yields elevated. Iran could potentially disrupt oil flows beyond the Strait of Hormuz, coupled with US threats against strategic energy infrastructure such as Kharg Island – Iran's primary crude export terminal, raising the risk of sustained supply disruptions and higher oil prices. Even perceived safe havens such as SGD have not been immune. While the US 2-year yield has eased from 4%, it remains elevated, continuing to underpin the US dollar. Historically, DXY and USDSGD have moved closely in tandem, and current dollar dynamics are consistent with USDSGD gravitating toward the 1.3000 area over the next three months. That said, SGD remains supported by MAS policy and a large current account surplus. Singapore's swap curve has also shifted higher across tenors, reflecting a rebuilding of term premia amid higher global yields and inflation risks. MAS could modestly increase the S\$NEER slope in the April meeting to contain imported inflation. With unit labour costs edging higher and private consumption supported by real wage gains, there may be a case for mild policy tightening in April to guard against second-round inflation risks from higher food and transportation costs. However, once geopolitical risks fade and US yields retreat, the dollar could weaken and allow SGD to resume its appreciation trend. A tight MAS policy and a tech-led electronics cycle should help anchor medium-term SGD strength.

MAS could modestly raise the NEER slope in April to guard against second-round inflation risks via higher food and transportation costs

TIGHT MAS POLICY TO PROVIDE RELATIVE SUPPORT FOR SGD

XM



Source Bloomberg, MUFG

South Korean won

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/KRW	1522.9	1510.0	1490.0	1470.0	1460.0
JPY/KRW	9.5781	9.5600	9.5500	9.5500	9.610
EUR/KRW	1755.0	1737.0	1758.0	1764.0	1752.0
		Consensus	Consensus	Consensus	Consensus
USD/KRW		1447.50	1430.00	1425.00	1437.00

MARKET UPDATE

KRW was the worst performer in Asia this March

In March, USD/KRW moved from 1440.1 to 1522.9. On 22nd March, Shin Hyun-song was nominated as the next BoK governor as governor Rhee steps down in April. The new BoK governor commented that the linkage between FX fluctuation and financial instability has become weaker than in the past as dollar liquidity remains solid.

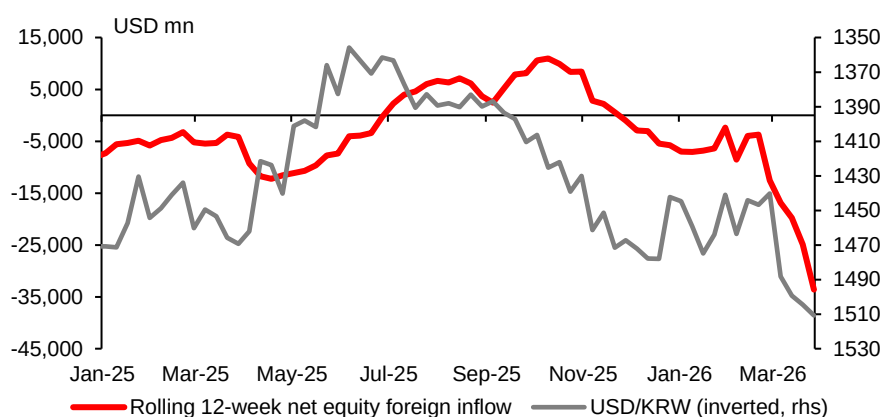
OUTLOOK

The ongoing complication in Middle-East implies continued pressure for KRW in April, due to its high-beta nature and high dependency on external energy

The Korean government swiftly planned to set up an emergency economic task force with five cross-ministerial teams working on energy, finance and welfare related issues. Among measures introduced was the expanded fuel tax cut for petrol (from 7% to 15%) and diesel (from 10% to 25%), and there is room for further adjustment as the legal maximum tax cut rate is set at 37%, which was last seen during 2022 Russia-Ukraine war. The government also imposed a fuel price cap system that sets the maximum petrol and diesel wholesale prices to gas stations, aiming to alleviate consumers' living cost pressure. Export controls on naphtha, and the ban on urea hoarding also went effective, alongside urging energy conservation among public. Accordingly, the government proposed a KRW 26.2tn supplementary budget funded mainly by KRW 25.2tn excess tax revenue from semiconductor sector and booming stock market, and importantly will not involve government bond issuance. In fact, the government will spend KRW 1tn from the supplementary budget to redeem government bond, in addition to the KRW 5tn emergency bonds buyback conducted in two tranches on 27th March and 1st April. Looking forward, amid the complications related to the Middle-East conflict, factors like Korea's high external energy dependency (84%) and dependence on the Middle East for it, alongside a potential bigger KOSPI correction likely will continue to weigh on KRW in April.

Net foreign equity outflow weighed on KRW as sentiment dipped in March

FOREIGNERS LIKELY TOOK SOME PROFIT FROM STOCK MARKET LATELY



Source Bloomberg, MUFG

Taiwan dollar

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/TWD	32.043	31.800	31.500	31.300	31.100
TWD/JPY	4.9621	4.9690	4.9520	4.9200	4.8870
EUR/TWD	36.926	36.570	37.170	37.560	37.320
		Consensus	Consensus	Consensus	Consensus
USD/TWD		31.400	31.300	31.000	31.200

MARKET UPDATE

TWD's depreciation in March mirrored Dollar (DXY)'s gain

In March, USD/TWD moved from 31.314 to 32.043. On 19th March, the CBC kept the policy rate unchanged at 2.00%, as expected. Governor Yang pointed out that the CBC is moving toward a tightening bias, and Q2 will be the key window for further assessment.

OUTLOOK

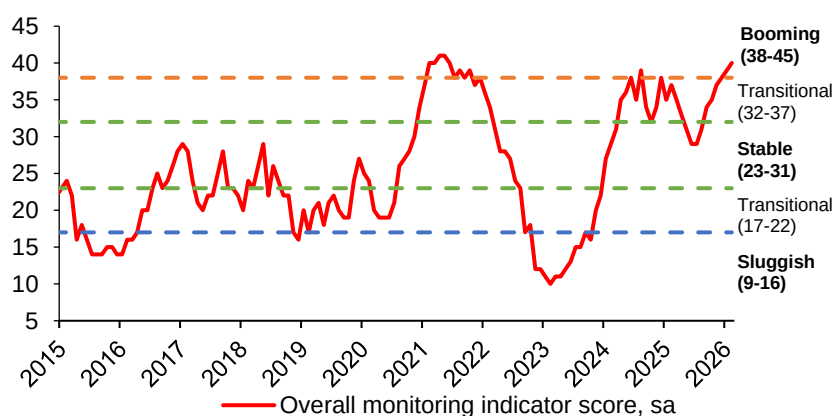
Barring any energy shortages to industrial production, TWD likely to slightly outperform other Asian net energy importer given its large current account surplus and global secular tech growth

At the March policy meeting, CBC only revised up the 2026 headline CPI forecast by 0.17ppts to 1.80%, assuming the annual average oil price at USD 85/bbl compared to previous forecast of USD58/bbl. The modest upward revision was helped by the government's energy price stabilization measures, which were estimated to absorb 0.35ppts of the CPI inflation. Meanwhile, CBC projected a strong 7.3% growth for 2026 supported by the big four US tech names' (Alphabet, Amazon, Meta, Microsoft) expected increase in their combined capex spending by 60% to nearly USD 700bn. While AI tech development is secular, a prolonged Middle East conflict may eventually feed into reduced spending by US tech and induce a downward growth pressure for Taiwan. In terms of energy supply, Taiwan's government has locked in LNG supply coverage through May and about 50% of its needs for June. Any natural gas shortages will risk slowing manufacturing production, as it accounts for 42% of the electricity generation mix. Data wise, Taiwan's exports and IP grew by 21%yoy and 18%yoy respectively in February with the average Jan-Feb headline CPI at 1.2%yoy. We think the current good growth-inflation profile put TWD in a relatively good position to buffer negative shocks from the inflation and negative growth risk if Middle East conflict worsens, though it will nevertheless suffer from being a net energy importer and deterioration in risk sentiment. We expect a mild TWD depreciation in April before it recovers as disruptions in supply start to de-escalate.

A strong Taiwan's economy helped to explain relatively modest TWD depreciation in March

TAIWAN'S MONITORING INDICATOR POINTS TO A BOOMING ECONOMY

XT



Thai baht

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/THB	32.631	33.900	33.600	32.300	32.100
THB/JPY	4.8727	4.6610	4.6430	4.7680	4.7350
EUR/THB	37.604	38.990	39.650	38.760	38.520
		Consensus	Consensus	Consensus	Consensus
USD/THB		32.000	32.000	32.000	31.950

MARKET UPDATE

THB weakened against the US dollar in March.

In March the Thai baht weakened to 32.631 against the US dollar from 31.050 in February. The Bank of Thailand cut its policy rate by 25bps to 1.00% in February.

OUTLOOK

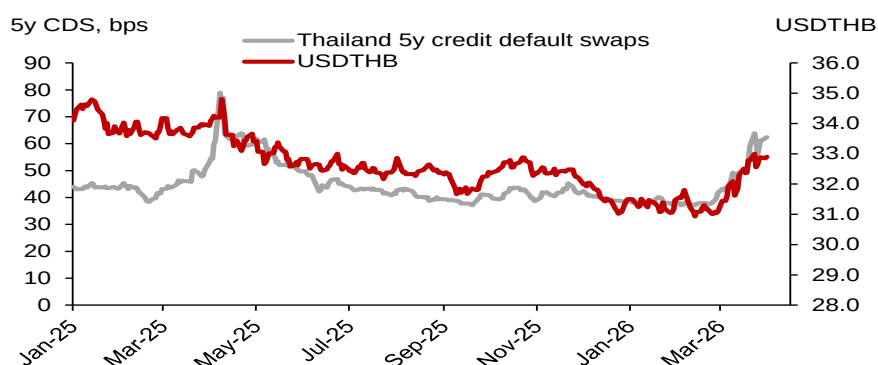
THB remains highly exposed to Middle East-driven energy and risk-off shocks, with Thailand's large energy trade deficit, the removal of fuel price caps, a weaker tourism outlook, and accommodative policy stance leaving risks skewed toward further USDTHB upside.

USDTHB remains one of the most direct and asymmetric expressions of Middle East-driven energy and risk-off shocks in Asia. Risks are still skewed toward further upside, which could keep energy prices elevated and global risk sentiment defensive. Against this backdrop, the Thai baht has underperformed sharply since the onset of the conflict, reflecting Thailand's structural vulnerability to oil shocks. Thailand runs one of the largest net energy trade deficits in Asia, with a heavy reliance on Gulf crude, leaving its current account highly exposed to sustained high oil prices. We estimate that every USD10/bbl increase in oil prices worsens Thailand's trade balance by around 0.8% of GDP and adds roughly 0.5pp to headline CPI; under a sustained USD100/bbl oil price scenario, the cumulative deterioration could reach about 2.4% of GDP. Thailand has ended the fuel price cap, as the state oil fuel fund sees deficits widening to THB35 billion as of 25th March due to a rising fuel subsidy burden. This will have a negative impact on economic activity, which will weigh on relative productivity vis-à-vis the US. Starting levels were attractive for USDTHB upside, with the Bank of Thailand appearing tolerant of currency weakness. Thailand also sits at the centre of the shock: a large energy importer with a tourism-heavy growth model that is particularly sensitive to global risk aversion. We have become more cautious about the outlook for tourist arrivals to Thailand, with higher energy prices and fuel supply constraints potentially resulting in higher air transportation costs. After about a 7% drop in visitor arrivals in 2025, we expect only a modest 2% growth this year. Negative short-term funding costs also reinforce THB's appeal as a hedge.

Thailand's credit default swap has room to rise further as Middle East turmoil drags on, implying further baht weakness.

THAILAND'S CDS SURGE ALONGSIDE BAHT WEAKNESS

XT



Vietnamese dong

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/VND	26337	26400	26500	26600	26700
JPY/VND	165.64	167.10	169.90	172.70	175.70
EUR/VND	30351	30360	31270	31920	32040
		Consensus	Consensus	Consensus	Consensus
USD/VND		26350	26400	26500	26600

MARKET UPDATE

VND weakened against the USD in March

In March, the Vietnamese dong weakened against the dollar to 26,337 from 26,040. The State Bank of Vietnam kept its key refinancing rate unchanged at 4.50%, with interbank rates rising above 8% partly due to the Middle East conflict and oil prices.

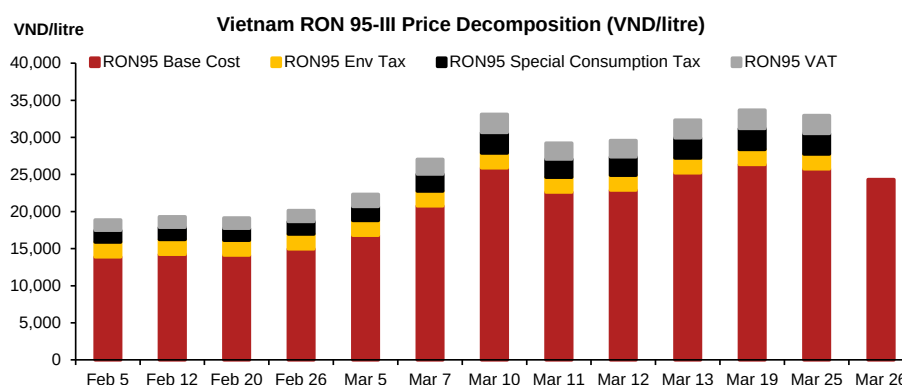
OUTLOOK

We think USD/VND will likely rise above the 27,000 levels if the Iran conflict is sustained, even as our base case forecasts assumes some gradual de-escalation after April 2026 and implicitly for oil prices to fall over time

We think USD/VND will likely rise above the 27,000 levels if the Middle East conflict is sustained and the Strait of Hormuz remains closed. Our current base case USD/VND forecast of around 26,600 by Dec 2026 assumes some gradual de-escalation after April 2026, and implicitly for oil prices to fall over time. In a left tail risk scenario if oil sustained at US\$120/bbl and above with meaningful energy shortages, we think USD/VND at 27,700 will look achievable given indirect negative spillovers to sectors such as manufacturing, even as we think the Vietnam dong should not be as vulnerable as the likes of the Indian rupee and the Philippines peso on a relative perspective within an Asia-ex-Japan context. For Vietnam specifically, the vulnerability comes from its dependence on crude oil imports from the Middle East, with 85% of crude oil imports coming from just one country – Kuwait. While Vietnam does have some domestic oil production and refining capacity, it is still dependent on Asian refiners such as South Korea, Singapore and Malaysia for its refined petroleum needs. Vietnam's government has been taking some steps to shield consumers from the full impact of global oil price increases by first intervening through the fuel stabilisation fund, and then subsequently by cutting a range of taxes to lower the final domestic fuel cost to consumers. Of course there is no free lunch in life and there is a cost through lower tax revenues of around 0.6% of GDP. We think higher oil prices will put further upward pressure on VND interbank rates, and also increases the chance of SBV delivering policy rate hikes in 2026.

Vietnam lowered its fuel prices by cutting taxes, after previously subsidising through the fuel stabilisation fund

VIETNAM LOWERED FUEL PRICES BY CUTTING TAXES



Source: LSEG, MUFG GMR

Argentine peso

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/ARS	1381.6	1450.0	1550.0	1650.0	1700.0
ARS/JPY	0.1151	0.1090	0.1010	0.0930	0.0890
EUR/ARS	1592.2	1667.5	1829.0	1980.0	2040.0
		Consensus	Consensus	Consensus	Consensus
USD/ARS		1475.5	1569.0	1672.5	N/A

MARKET UPDATE

Modestly stronger

In March the Argentine peso strengthened modestly against the US dollar in terms of London closing rates from 1,411.0 to 1,381.6. The Argentine central bank (BCRA) held the Leliq policy rate at 29.00%.

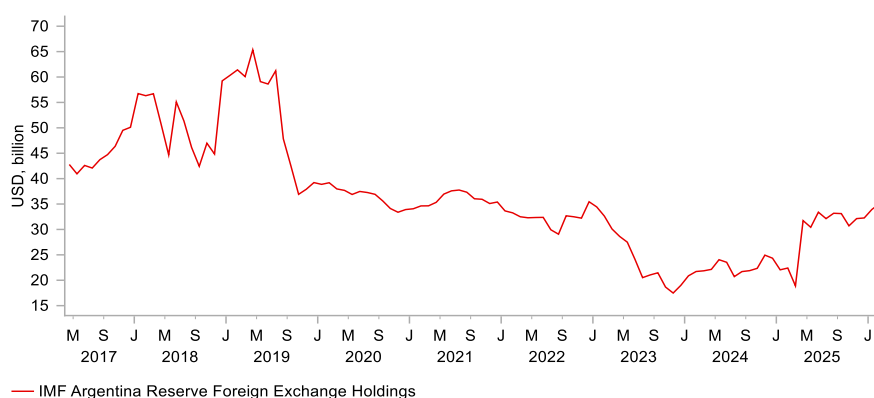
OUTLOOK

Peso more resilient to energy price shock

The peso has held up better than other Latam currencies in response to the energy price shock triggered by the Middle East conflict. The IMF noted that Argentina has weathered the shock “relatively well” so far, largely due to its status as a net energy exporter. Argentina recorded a record energy trade surplus of USD 7.8 billion in 2025. Explosive growth in shale oil and gas output from the Vaca Muerta formation helped lift crude production to a record 861,000 barrels per day in December. President Milei’s decision to remove fuel subsidies has also contributed to lower domestic consumption. Argentina’s largest energy company, YPF, has indicated that it plans to increase capital investment by up to 29% in 2026, with roughly 70% of the funds directed toward expanding shale production. Meanwhile, a recent U.S. court ruling removed Argentina’s USD 16.1 billion obligation tied to the nationalization of YPF, helping ease pressure on the government’s debt management. The resilience of the peso has allowed Argentina to continue building FX reserves despite the energy price shock. The BCRA accumulated around USD 3.7 billion in foreign currency purchases in recent months. However, net international reserves continued to decline due to heavy debt repayments. The BCRA is targeting an increase of USD 10–17 billion in foreign exchange reserves during 2026. While a weaker peso could help Argentina improve external competitiveness and support economic rebalancing, it would also risk undermining the government’s efforts to slow inflation thereby making such depreciation less desirable in the near term.

Argentina continues to rebuild FX reserves

ARGENTINA FX RESERVES



Source: Bloomberg, Macrobond & MUFG GMR

Brazilian real

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/BRL	5.2134	5.3000	5.3500	5.2500	5.2000
BRL/JPY	30.498	29.810	29.160	29.330	29.230
EUR/BRL	6.0079	6.0950	6.3130	6.3000	6.2400
		Consensus	Consensus	Consensus	Consensus
USD/BRL		5.3000	5.4000	5.4200	5.4000

MARKET UPDATE

Modestly weaker

In March the Brazilian real weakened modestly against the US dollar in terms of London closing rates from 5.1310 to 5.2134. The Brazilian Central Bank (BCB) lowered the Selic policy rate by 0.25 point to 14.75%.

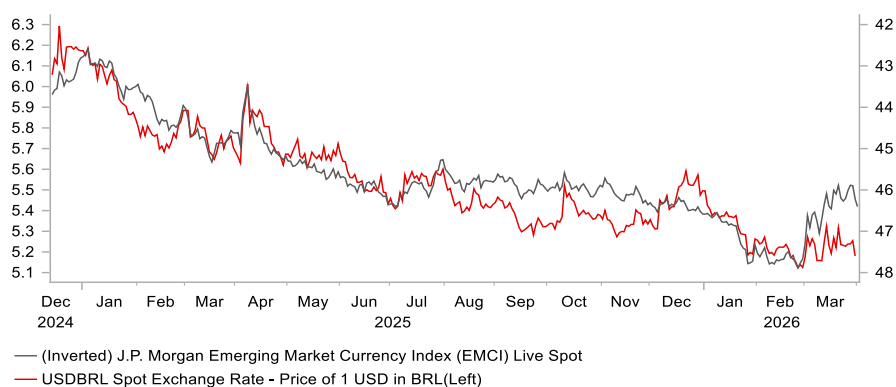
OUTLOOK

Real is proving relatively resilient to energy price shock ahead of Presidential election

The real has weakened against the US dollar since the Middle East conflict began in late February, although it has still held up better than most other emerging market currencies. Its relative resilience has been supported by Brazil's position as a net energy exporter. Crude oil has become Brazil's largest export in recent years, totaling around USD 46 billion in the twelve months to February 2026. The favourable terms of trade impact has helped limit downside pressure on the real from the unwind of popular carry trades. The Middle East conflict has triggered a marked increase in financial market volatility over the past month. EM FX volatility began the year at multi-year lows, encouraging a build-up of carry trades that are now vulnerable to further liquidation. Even so, the carry appeal of the real remains supported by the high yields on offer in Brazil. The energy price shock did not prevent the BCB from beginning to lower interest rates in March, although is likely to slow the pace of easing this year. Governor Galípolo has stated that the central bank will act cautiously and avoid any "abrupt" or "extreme" moves. The high starting point for policy rates, which are well above estimates of the neutral rate, gives the BCB room to continue easing. To reflect upside risks from the energy price shock, the BCB sharply revised its inflation forecast for 2026 higher to 3.9%, up from 3.4% in January. At the same time, economic growth in Brazil has slowed in response to tighter policy creating a less favourable macro backdrop. Higher inflation could also make it more challenging for President Lula to secure re-election in October.

BRL has held up relatively well

USD/BRL VS. EM FX PERFORMANCE (VS. USD)



Source: Bloomberg, Macrobond & MUFG GMR

Chilean peso

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/CLP	929.31	930.00	910.00	890.00	870.00
CLP/JPY	0.1711	0.1700	0.1710	0.1730	0.1750
EUR/CLP	1070.9	1070.0	1074.0	1068.0	1044.0
		Consensus	Consensus	Consensus	Consensus
USD/CLP		870.00	860.00	870.00	870.00

MARKET UPDATE

CLP depreciation should partially reverse over time

In March the Chilean peso weakened sharply against the US dollar from 872.06 to 929.31. The BCCh at its meeting in March kept the key policy rate unchanged at 4.50%, following a 25bp cut in December.

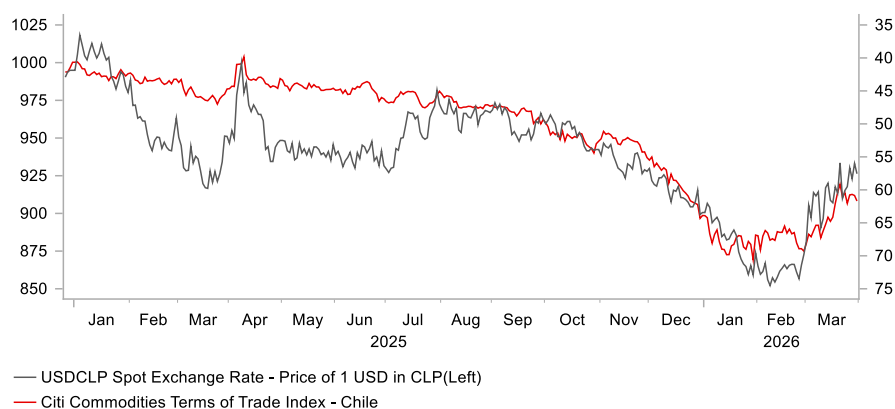
OUTLOOK

CLP can recover once geopolitical risks in the Middle East diminish

The Chilean peso depreciated sharply in March with much of the weakness recorded in the first two trading days of the month in response to the start of the conflict between the US/Israel and Iran. Emerging market currencies in general suffered with energy import-reliant currencies suffering most. Chile is dependent on imported energy with mineral fuels accounting for 18% of all imports according to 2024 data. The terms of trade hit for Chile is also on the exports side if you make the assumption that the Middle East conflict and rising energy prices ultimately hurts global growth. Chile's top two export categories are 'ores, slag and ash' and copper which combined accounted for 52.5% of Chile's exports in 2025. The price of metal Copper prices fell close to 10% in March. The peso was the worst performing LatAm currency in March as a result of this terms of trade hit. However, prior to the conflict the fundamental backdrop for the peso was reasonably positive and hence there is a good prospect of recovery once the conflict in the Middle East de-escalates. That timeline is difficult to predict but we generally assume de-escalation emerges over the coming month or so which likely means the economic damage for Chile is more modest. The central bank released its quarterly monetary policy report after its policy meeting in March and lowered its real GDP growth projection for 2026 by 0.5ppt but kept the 2027 projection unchanged. The new Kast-led government have decided not to provide support from the coming energy price surge which could see a bigger economic hit and slow CLP recovery but recovery should still unfold later this year.

Global growth fears weigh on CLP

USD/CLP VS CHILE'S TERMS OF TRADE



Source: Bloomberg, Macrobond & MUFG GMR

Mexican peso

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/MXN	18.030	18.000	17.750	17.500	17.500
MXN/JPY	8.8185	8.7780	8.7890	8.8000	8.6860
EUR/MXN	20.778	20.700	20.950	21.000	21.000
		Consensus	Consensus	Consensus	Consensus
USD/MXN		17.700	17.820	17.870	18.000

MARKET UPDATE

MXN weakens

In March the Mexican peso weakened against the US dollar from 17.202 to 18.030. Banxico, at its meeting in March cut the key policy rate by 25bps to 6.75%. Banxico has now cut by 450bps since the easing cycle began in March 2024.

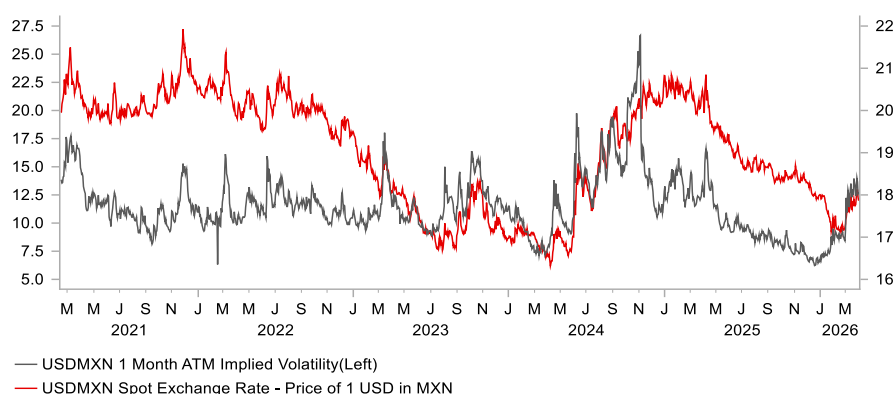
OUTLOOK

Downside risks should fade, allowing for recovery later this year

The Mexican peso was the third worst performing LatAm currency versus the US dollar in March with the start of the conflict in the Middle East fuelling a rush to cut profitable positions as risk aversion jumped due to elevated levels of uncertainty. As one of the most popular carry trade strategies, short USD/MXN positions were liquidated prompting the rebound. The peso selling momentum was then reinforced toward month-end with the decision of Banxico to cut the key policy rate. This has certainly increased downside risks for the peso given the inflation risks from the conflict appear to have been played down by Banxico. The statement from Banxico indicated the belief that headline inflation was “still expected to converge to the target” by Q2 2027. Given the high level of uncertainty at the early stages of the conflict, holding rates steady was what the markets expected, although markets expectations were quite divided. In addition, Banxico signalled the potential for a further cut. Trade uncertainties lie ahead with China warning that it could impose retaliatory tariffs on Mexico after Mexico’s implementation of tariffs on Asian countries in order to appease the US. Trade negotiations with the US also lie ahead with the 1st July the trigger date for the first joint review of the USMCA deal that became effective on 1st July 2020. Given the risk of some deterioration in risk conditions over the short-term, we see scope for USD/MXN to extend further higher although most of that gain could be reversed by end-Q2 and beyond then we see scope for USD/MXN to renew its modest decline into the end of 2026.

Carry trade unwinds result in weaker peso

USD/MXN VS IMPLIED VOLATILITY



Source: Bloomberg, Macrobond & MUFG GMR

Saudi Riyal

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/SAR	3.7527	3.7500	3.7500	3.7500	3.7500
SAR/JPY	42.369	42.130	41.600	41.070	40.530
EUR/SAR	4.3246	4.3130	4.4250	4.5000	4.5000
		Consensus	Consensus	Consensus	Consensus
USD/SAR		N/A	N/A	N/A	N/A

MARKET UPDATE

The USD/SAR forward was broadly flat in March 2026

In March, the 12-month Saudi riyal (SAR) forward contract remained broadly flat against the US dollar in terms of London closing rates from 3.7509 to 3.7526. Given the USD currency peg, Saudi monetary policy continues to closely follow the Fed, to maintain the relative attractiveness of the peg and stem capital arbitrage.

OUTLOOK

Global energy and geopolitics shape Saudi macro dynamics

Saudi Arabia remains well anchored despite a more complex and volatile external environment, with the SAR peg continuing to hold firmly on the back of strong oil-linked fundamentals. The disruption in the Strait of Hormuz has reinforced the Kingdom's importance in global energy and commodity supply chains, supporting higher energy prices and strengthening terms of trade, fiscal revenues, and external balances, which are key pillars for FX stability. At the same time, the broader macro picture is becoming more mixed, as non-oil sectors such as logistics, tourism, and manufacturing face rising input costs, supply chain disruptions, and softer external demand, while credit growth has moderated and liquidity conditions remain relatively tight. Inflation has eased in recent data but is expected to trend higher in the coming months, driven by energy-related costs and potential supply disruptions, adding a layer of uncertainty. Nonetheless, domestic activity remains resilient, with PMI still in expansion territory, industrial production growing strongly, and business expectations remaining positive, indicating that underlying economic momentum is intact. Importantly, Saudi Arabia's strong external buffers, including high reserves, positive investor confidence reflected in its affirmed sovereign rating, and strategic infrastructure such as alternative export routes, provide significant protection against geopolitical shocks. FX remains stable, with oil revenues and policy credibility anchoring the riyal despite regional and global pressures.

Oil strength and strong buffers support SAR stability

12-MONTH USD/SAR FORWARD CONTRACT VS. PEG

XL



Source: Bloomberg, MUFG

Egyptian Pound

	Spot close 31.03.26	Q2 2026	Q3 2026	Q4 2026	Q1 2027
USD/EGP	54.526	48.500	50.000	51.500	53.000
EGP/JPY	2.9161	3.2580	3.1200	2.9900	2.8680
EUR/EGP	62.835	55.780	59.000	61.800	63.600
		Consensus	Consensus	Consensus	Consensus
USD/EGP		N/A	N/A	N/A	N/A

MARKET UPDATE

The EGP weakened against the US dollar in March

In March, the Egyptian Pound (EGP) weakened against the US dollar in terms of London closing rates moving from 49.261 to 54.645.

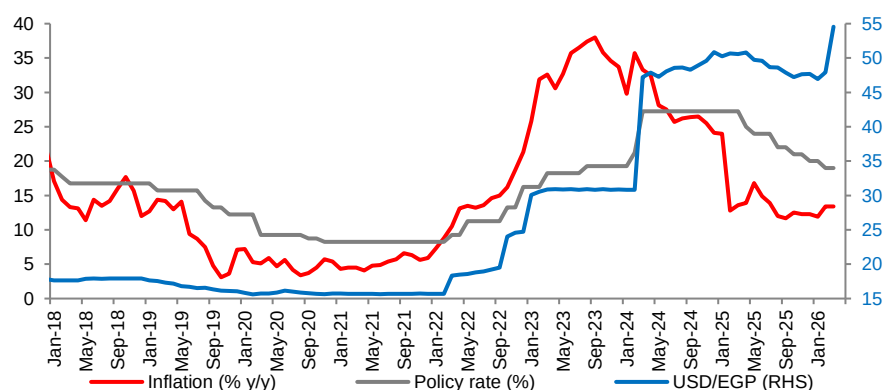
OUTLOOK

FX outlook with gradual EGP weakening amid external pressure

The Egyptian Pound is facing broad-based depreciation pressure driven by a combination of rising inflation, external shocks, and capital outflows, although buffers remain supportive. Inflation picked up sharply in February due to seasonal Ramadan demand, higher education and tobacco costs, and persistently strong rent increases, with additional upside risks from fuel price hikes and higher global energy costs, reinforcing pressure on the currency through the inflation differential and import costs. At the same time, portfolio outflows linked to geopolitical tensions and global risk-off sentiment have accelerated, with over USD6-7bn withdrawn from local debt markets, pushing the EGP beyond 50-52/USD and increasing FX demand in the interbank market. While growth remains positive, the PMI contraction and rising input costs highlight weakening private sector momentum, further limiting FX-generating capacity. On the external side, Egypt maintains strong buffers, including record-high reserves, rising global holdings, and positive net foreign assets, alongside resilient inflows such as remittances, which help offset volatility and prevent disorderly adjustment. Fiscal measures, including higher contingency buffers and temporary austerity steps, aim to contain the impact of rising energy import costs amid elevated oil prices. Overall, the FX outlook points to a controlled but sustained depreciation path, where external pressures from inflation, oil prices, and capital flows drive weakness, while strong reserves and policy support help avoid a sharp devaluation and maintain stability in the adjustment process.

EGP under pressure but buffers support stability

EGYPT INFLATION (% Y/Y), POLICY RATE (%) AND USD/EGP



Source: CBE, Bloomberg, MUFG Research

Disclaimer

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